

**Samsung Biologics Co., Ltd.
and Subsidiaries**

**Condensed Consolidated Interim Financial Statements
June 30, 2026 and 2025**

Samsung Biologics Co., Ltd. and Subsidiaries

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June 30, 2026 and 2025

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Independent Auditors' Review Report

Based on a report originally issued in Korean

To the Shareholders and Board of Directors of
Samsung Biologics Co., Ltd

Reviewed consolidated financial statements

We have reviewed the accompanying condensed consolidated interim financial statements of Samsung Biologics Co., Ltd. and its subsidiaries (the "Group"), which comprise the condensed consolidated interim statement of financial position as of June 30, 2026, the condensed consolidated statements of comprehensive income for the three-month and six-month periods ended June 30, 2026 and 2025, changes in equity and cash flows for the six-month periods ended June 30, 2026 and 2025 and notes, including material accounting policies.

Management's responsibility

Management is responsible for the preparation and fair presentation of these condensed consolidated interim financial statements in accordance with Korean International Financial Reporting Standards ("K-IFRS") No.1034 'Interim Financial Reporting', and for such internal control as management determines is necessary to enable the preparation of condensed consolidated interim financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' review responsibility

Our responsibility is to issue a report on these condensed consolidated interim financial statements based on our reviews.

We conducted our reviews in accordance with the Review Standards for Quarterly and Semiannual Financial Statements established by the Securities and Futures Commission of the Republic of Korea. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Korean Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that causes us to believe that the accompanying condensed consolidated interim financial statements referred to above do not present fairly, in all material respects, in accordance with K-IFRS No.1034, 'Interim Financial Reporting'.

Emphasis of matter

The following matter may be helpful to the readers in their understanding of the condensed consolidated interim financial statements:

Administrative lawsuit against the sanctions imposed by the Securities and Futures Commission

As described in Note 37 to the condensed consolidated interim financial statements, the Securities and Futures Commission (the "SFC") resolved to impose measures on the Group in relation to alleged errors in accounting treatment for the Group's investment in Samsung Bioepis Co., Ltd. in the Group's consolidated financial statements for the period from 2012 to the first half of 2018.

The Group filed an application with the Seoul Administrative Court (the "Court") to suspend the measures imposed by the SFC and subsequently received a Court decision granting the suspension. In relation to this, the appeal and re-appeal filed by SFC were dismissed by the Seoul High Court and the Supreme Court, respectively. The Group submitted claims for cancellation of the measures and related administrative lawsuit is in progress. It is not possible to predict the outcome.



Other matters

The consolidated statement of financial position of the Group as of December 31, 2025, and the related consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, which are not accompanying this report, were audited by us in accordance with Korean Standards on Auditing and our report thereon, dated February 25, 2026, expressed an unqualified opinion. The accompanying condensed consolidated statement of financial position of the Group as of December 31, 2025, presented for comparative purposes, is not different from that audited by us from which it was derived in all material respects.

The procedures and practices utilized in the Republic of Korea to review such condensed consolidated interim financial statements may differ from those generally accepted and applied in other countries.

KPMG Samjong Accounting Corp.

Seoul, Korea
August 12, 2026

This report is effective as of August 12, 2026, the review report date. Certain subsequent events or circumstances, which may occur between the review report date and the time of reading this report, could have a material impact on the accompanying condensed consolidated interim financial statements and notes thereto. Accordingly, the readers of the review report should understand that the above review report has not been updated to reflect the impact of such subsequent events or circumstances, if any.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Interim Statements of Financial Position
June 30, 2026 and December 31, 2025

(in Korean won)

	Notes		June 30, 2026		December 31, 2025
Assets					
Current assets					
Cash and cash equivalents	5,6,33,34	₩	288,575,631,853	₩	148,851,266,520
Short-term financial instruments	5,34		1,900,000,000,000		1,307,174,500,000
Trade and other receivables	5,8,32,34		615,771,443,792		676,466,918,976
Inventories	10,25		2,344,406,492,431		2,128,164,162,722
Contract assets	9,34		137,685,033,381		103,627,211,536
Other current financial assets	5,11,34		24,362,857,357		29,057,433,784
Other current assets	12		20,344,416,237		15,025,022,369
			<u>5,331,145,875,051</u>		<u>4,408,366,515,907</u>
Non-current assets					
Long-term financial instruments	5,7,34		6,000,000		226,947,395
Investments in associates	4,13,32		51,938,446,870		78,098,117,569
Property, plant and equipment	14		6,467,984,511,235		6,028,651,127,383
Intangible assets	15		76,794,301,104		60,193,270,276
Right-of-use asset	19		280,024,143,436		8,880,844,158
Net defined benefit assets	21		-		23,295,787,579
Contract assets	9,34		275,785,936,089		307,972,154,079
Deferred tax assets	28		148,770,593,778		132,836,645,814
Other non-current financial assets	5,11,34		19,298,764,043		10,627,367,793
Other non-current assets	12		872,514,731		1,593,198,884
			<u>7,321,475,211,286</u>		<u>6,652,375,460,930</u>
Total assets		₩	<u>12,652,621,086,337</u>	₩	<u>11,060,741,976,837</u>

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Interim Statements of Financial Position, Continued
June 30, 2026 and December 31, 2025

(in Korean won)

	Notes		June 30, 2026		December 31, 2025
Liabilities					
Current liabilities					
Trade and other payables	5,17,21,31,32,34	₩	651,901,219,300	₩	486,387,276,811
Emission liability	18		551,917,600		551,917,600
Debentures and borrowings	5,16,31,33,34		366,131,648,789		319,712,704,765
Contract liabilities	9,32		163,077,316,817		161,849,008,321
Lease liabilities	5,19,33,34		40,403,725,409		7,257,974,993
Current tax liabilities	28		330,378,327,240		355,699,920,176
Other current liabilities	9,20,32		1,413,702,988,661		1,201,458,529,835
			<u>2,966,147,143,816</u>		<u>2,532,917,332,501</u>
Non-current liabilities					
Trade and other payables	5,17,21,32,34		20,647,611,293		23,361,343,268
Debentures	5,16,31,33,34		599,227,527,623		599,011,716,516
Net defined benefit liabilities	21		7,273,161,796		-
Contract liabilities	9,32		321,810,489,793		377,588,143,176
Lease liabilities	5,19,33,34		235,511,691,765		1,112,062,611
Deferred tax liabilities	28		15,331,872,759		-
Provision liabilities	30		6,048,882,857		-
Other non-current liabilities	9,20,32		118,699,519,296		75,640,730,780
			<u>1,324,550,757,182</u>		<u>1,076,713,996,351</u>
Total liabilities			<u>4,290,697,900,998</u>		<u>3,609,631,328,852</u>
Equity					
Equity Attributable to Owners of Parent			8,361,923,185,339		7,451,110,647,985
Share capital	1,22		115,727,377,500		115,727,377,500
Share premium	22		3,391,926,183,382		3,391,926,183,382
Capital adjustments			(2,907,695,001,592)		(2,907,695,001,592)
Accumulated other comprehensive loss	21,22		(8,895,661,588)		(19,808,592,095)
Retained earnings	22		7,770,860,287,637		6,870,960,680,790
Total equity			<u>8,361,923,185,339</u>		<u>7,451,110,647,985</u>
Total liabilities and equity		₩	<u>12,652,621,086,337</u>	₩	<u>11,060,741,976,837</u>

The above consolidated interim statements of financial position should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Interim Statements of Comprehensive Income
Three-Month and Six-Month periods Ended June 30, 2026 and 2025

(in Korean won)	Notes	2026		2025	
		Three-Month	Six-Month	Three-Month	Six-Month
Revenue	4,23,32	₩ 1,320,910,867,803	₩ 2,578,030,056,694	₩ 1,014,237,838,575	₩ 2,013,782,484,640
Cost of sales	9,10,23,25,32	<u>(621,049,157,764)</u>	<u>(1,198,257,407,663)</u>	<u>(448,084,723,641)</u>	<u>(905,635,782,495)</u>
Gross profit		699,861,710,039	1,379,772,649,031	566,153,114,934	1,108,146,702,145
Selling, general and administrative expenses	24,25,32	<u>(113,417,867,898)</u>	<u>(212,576,226,066)</u>	<u>(88,950,982,564)</u>	<u>(200,705,032,327)</u>
Operating profit		586,443,842,141	1,167,196,422,965	477,202,132,370	907,441,669,818
Other income	26,32	8,246,554,081	10,701,615,345	436,273,225	1,156,012,905
Other expenses	26,32	(732,532,850)	(747,268,187)	(264,396,967)	(1,852,097,180)
Finance income	5,27	33,754,918,736	118,374,175,015	33,850,304,792	72,561,096,383
Finance costs	5,27	(21,740,958,987)	(43,847,766,594)	(68,372,011,363)	(113,267,100,052)
Share of profit (loss) of associates	13	<u>(21,342,903,551)</u>	<u>(26,455,103,199)</u>	<u>(487,509,247)</u>	<u>15,427,167,295</u>
Profit before income tax		584,628,919,570	1,225,222,075,345	442,364,792,810	881,466,749,169
Income tax expense	28	<u>(153,974,737,396)</u>	<u>(325,322,468,498)</u>	<u>(108,795,861,077)</u>	<u>(216,564,756,784)</u>
Profit from continuing operations		₩ 430,654,182,174	₩ 899,899,606,847	₩ 333,568,931,733	₩ 664,901,992,385
Profit (loss) from discontinued operations	35	-	-	(9,182,789,193)	35,037,701,084
Profit for the period		<u>₩ 430,654,182,174</u>	<u>₩ 899,899,606,847</u>	<u>₩ 324,386,142,540</u>	<u>₩ 699,939,693,469</u>
Profit attributable to:					
Owners of the Parent Company		₩ 430,654,182,174	₩ 899,899,606,847	₩ 324,386,142,540	₩ 699,939,693,469
Non-controlling interests		-	-	-	-
Other comprehensive income (loss)					
<i>Items that will not be reclassified to profit or loss</i>					
Remeasurements of net defined benefit liabilities	21,22	₩ (857,766,790)	₩ (1,742,656,949)	₩ (489,919,152)	₩ (872,976,588)
<i>Items that may be subsequently reclassified to profit or loss</i>					
Foreign currency translation gain(loss)	22	<u>9,291,034,220</u>	<u>12,655,587,456</u>	<u>(1,210,996,625)</u>	<u>(948,984,851)</u>
Other comprehensive income (loss) for the period, net of tax		<u>8,433,267,430</u>	<u>10,912,930,507</u>	<u>(1,700,915,777)</u>	<u>(1,821,961,439)</u>
Total comprehensive income for the period		<u>₩ 439,087,449,604</u>	<u>₩ 910,812,537,354</u>	<u>₩ 322,685,226,763</u>	<u>₩ 698,117,732,030</u>
Total comprehensive income for the period is attributable to:					
Owners of the Parent Company		₩ 439,087,449,604	₩ 910,812,537,354	₩ 322,685,226,763	₩ 698,117,732,030
Non-controlling interest		-	-	-	-
Earnings per share					
Basic earnings and diluted earnings per share from continuing operations	29	₩ 9,314	₩ 19,462	₩ 4,687	₩ 9,342
Basic earnings and diluted earnings per share from discontinued operations	29	-	-	(129)	492

The above consolidated interim statements of comprehensive Income should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Interim Statements of Changes in Equity
Six-Month periods Ended June 30, 2026 and 2025

(in Korean won)

					Accumulated other comprehensive income (loss)	Retained earnings	Non-controlling interests	Total
Notes	Share capital	Share premium	Capital adjustments					
Balance at January 1, 2025	₩ 177,935,000,000	₩ 5,663,111,352,594	₩ -	₩ (22,978,910,773)	₩ 5,086,608,620,197	₩ -	₩ 10,904,676,062,018	
Total comprehensive income								
Profit for the period	-	-	-	-	699,939,693,469	-	699,939,693,469	
Other comprehensive income (loss)								
Remeasurements of net defined benefit liabilities	21,22	-	-	-	(872,976,588)	-	(872,976,588)	
Foreign currency translation loss	22	-	-	-	(948,984,851)	-	(948,984,851)	
Total comprehensive income (loss) for the period		-	-	-	(1,821,961,439)	699,939,693,469	698,117,732,030	
Balance at June 30, 2025	₩ 177,935,000,000	₩ 5,663,111,352,594	₩ -	₩ (24,800,872,212)	₩ 5,786,548,313,666	₩ -	₩ 11,602,793,794,048	
Balance at January 1, 2026	₩ 115,727,377,500	₩ 3,391,926,183,382	₩ (2,907,695,001,592)	₩ (19,808,592,095)	₩ 6,870,960,680,790	₩ -	₩ 7,451,110,647,985	
Total comprehensive income								
Profit for the period	-	-	-	-	899,899,606,847	-	899,899,606,847	
Other comprehensive income (loss)								
Remeasurements of net defined benefit liabilities	21,22	-	-	-	(1,742,656,949)	-	(1,742,656,949)	
Foreign currency translation gain	22	-	-	-	12,655,587,456	-	12,655,587,456	
Total comprehensive income for the period		-	-	-	10,912,930,507	899,899,606,847	910,812,537,354	
Balance at June 30, 2026	₩ 115,727,377,500	₩ 3,391,926,183,382	₩ (2,907,695,001,592)	₩ (8,895,661,588)	₩ 7,770,860,287,637	₩ -	₩ 8,361,923,185,339	

The above consolidated interim statements of changes in equity should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Interim Statements of Cash Flows
Six-Month periods Ended June 30, 2026 and 2025

<i>(in Korean won)</i>	Notes	2026	2025
Cash flows from operating activities			
Cash flows generated from operating activities	32	₩ 1,748,182,573,754	₩ 1,571,962,856,676
Interest received		25,466,118,557	24,560,094,201
Interest paid		(15,513,095,924)	(17,972,525,124)
Income tax paid		(365,647,222,201)	(372,190,121,851)
Net cash inflow from operating activities		1,392,488,374,186	1,206,360,303,902
Cash flows from investing activities			
Decrease in short-term financial instruments		1,807,408,914,350	2,200,000,000,000
Decrease in financial assets at fair value through profit or loss		228,166,467	-
Disposal of property, plant and equipment	14	55,970,000	1,232,356,187
Disposal of intangible assets	15	3,500,000,000	-
Decrease in investments in associates	13,32	671,550,000	18,744,000,000
Increase in short-term financial instruments		(2,400,000,000,000)	(2,200,000,000,000)
Increase in long-term financial instruments		-	(10,919)
Increase in financial assets at fair value through profit or loss		-	(3,200,013,306)
Acquisition of property, plant and equipment	14	(172,611,419,110)	(758,771,870,975)
Acquisition of intangible assets	15	(17,993,318,800)	(47,647,155,946)
Acquisition of investments in associates	13,32	(966,982,500)	(867,240,000)
Business combination		(533,667,531,470)	-
Net cash outflow from investing activities		(1,313,374,651,063)	(790,509,934,959)
Cash flows from financing activities			
Proceeds from short-term borrowings	16,33	44,453,486,100	-
Proceeds from long-term borrowings	16,33	-	45,000,000,000
Repayment of current portion of long-term borrowings	16,33	-	(45,000,000,000)
Repayment of lease liabilities	19,33	(7,017,864,089)	(72,427,448,923)
Net cash inflow (outflow) from financing activities		37,435,622,011	(72,427,448,923)
Net increase in cash and cash equivalents		116,549,345,134	343,422,920,020
Cash and cash equivalents at the beginning of the period		148,851,266,520	391,221,617,203
Effects of exchange rate changes on cash and cash equivalents		23,175,020,199	(25,165,690,493)
Cash and cash equivalents at the end of the period		₩ 288,575,631,853	₩ 709,478,846,730

The above consolidated interim statements of cash flows should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Interim Financial Statements

June 30, 2026 and 2025 and December 31, 2025

1. General Information

Samsung Biologics Co., Ltd. (the "Company" or the "Parent Company") was established on April 22, 2011 under the commercial law of the Republic of Korea and is engaged in biopharmaceutical manufacturing. The Company's head office is located in 300, Songdobio-daero, Yeonsu-gu, Incheon-si, Republic of Korea. The Company was listed on the securities market on November 10, 2016. Following the spin-off completed on November 1, 2025, the Company's share capital amounted to ₩115,727 million as of the end of the period.

The shareholders of the Company as of June 30, 2026, are as follows:

Shareholder	Number of shares (in shares)	Percentage of ownership (%)
Samsung C&T Corporation	19,932,350	43.06
Samsung Electronics Co., Ltd.	14,449,944	31.22
Others	11,908,657	25.72
	46,290,951	100.00

Samsung Biologics Co., Ltd. (the "Company", a controlling company in accordance with K-IFRS No. 1110 Consolidated Financial Statements) and subsidiaries (collectively referred to as the "Group") prepared the consolidated interim financial statements accounting for the investments in associates using the equity method.

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Interim Financial Statements

June 30, 2026 and 2025 and December 31, 2025

1.1 Consolidated Subsidiaries

Details of the consolidated subsidiaries as at June 30, 2026 and December 31, 2025 are as follows:

	Location	Percentage ownership (%)		Main business	Fiscal year-end
		June 30, 2026	December 31, 2025		
SAMSUNG BIOLOGIC AMERICA Inc.	USA	100.00	100.00	Other services	December
Human Genome Sciences, Inc. ¹	USA	100.00	-	Pharmaceutical manufacturing	December

¹ On March 31, 2026, the Company acquired a 100% equity interest in Human Genome Sciences, Inc.

Summarized financial information for consolidated subsidiaries as at and for the six-month period ended June 30, 2026, is as follows:

(in Korean won)

	June 30, 2026					
	Assets	Liabilities	Equity	Sales	Profit (loss) for the period	Total comprehensive income (loss)
Samsung Biologics America, Inc.	₩ 623,407,336,494	₩ 76,619,531,763	₩ 546,787,804,731	₩ 13,038,744,072	₩ 700,561,768	₩ 4,300,515,228
Human Genome Sciences, Inc.	945,147,871,432	433,933,694,061	511,214,177,371	-	(12,339,379,854)	(3,283,745,858)

Summarized financial information for consolidated subsidiaries as at December 31, 2025 and for the six-month period ended June 30, 2025, is as follows:

(in Korean won)

	December 31, 2025			June 30, 2025		
	Assets	Liabilities	Equity	Sales	Profit for the period	Total comprehensive income (loss)
Samsung Biologics America, Inc.	₩ 18,361,304,615	₩ 3,044,015,112	₩ 15,317,289,503	₩ 6,842,394,991	₩ 315,548,250	₩ (857,196,067)
SAMSUNG BIOEPIS Co., Ltd. ¹	-	-	-	801,640,868,071	176,666,884,776	177,165,296,803

¹ Consolidated financial information of SAMSUNG BIOEPIS Co., Ltd., and its subsidiaries.

1.2 Changes in Scope for Consolidation

Entities included from consolidation during the current period:

	Reason
Human Genome Sciences, Inc.	Business Combination

Samsung Biologics Co., Ltd. and Subsidiaries
Notes to the Consolidated Interim Financial Statements
June 30, 2026 and 2025 and December 31, 2025

2. Basis of Preparation

2.1 Adoption of the K-IFRS

The Group maintains its accounting records in Korean won and prepares statutory financial statements in the Korean language (Hangul) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (K-IFRS). The accompanying condensed consolidated interim financial statements have been restructured and translated into English from the Korean language financial statements.

The Group's condensed consolidated interim financial statements for the six-month periods ended June 30, 2026, have been prepared in accordance with K-IFRS No. 1034 '*Interim Financial Reporting*'. These condensed consolidated interim financial statements do not include all of the information presented in the annual financial statements. Therefore, these condensed consolidated interim financial statements should be read in conjunction with the annual consolidated financial statements as of and for the year ended December 31, 2025.

These condensed consolidated interim financial statements have been prepared in accordance with K-IFRS which is effective or early adopted as of June 30, 2026. These are the standards, subsequent amendments and related interpretations issued by the International Accounting Standards Board (IASB) that have been adopted by the Republic of Korea.

The condensed consolidated interim financial statements have been prepared on a historical cost basis, except for the following:

- Defined benefit pension plans – plan assets measured at fair value.

2.2 Use of Estimates and Judgements

The preparation of the condensed consolidated interim financial statements in conformity with K-IFRS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

In preparing these condensed consolidated interim financial statements, the significant judgments made by management in applying the Group's accounting policies and the key sources of estimating uncertainty were the same as those that applied to the consolidated annual financial statements as of and for the year ended December 31, 2025, except for the estimation used to determine income tax expense.

Samsung Biologics Co., Ltd. and Subsidiaries
Notes to the Consolidated Interim Financial Statements
June 30, 2026 and 2025 and December 31, 2025

3. Material Accounting Policies

The important accounting policies and calculation methods applied in the preparation of the condensed consolidated interim financial statements are the same as those applied in the preparation of the previous consolidated financial statements, except for changes due to the application of the enacted and revised standards and the matters explained in 3.3.

3.1 New and amended standards and interpretations adopted by the Group

The Group has applied the following standards and interpretations for the first time for their annual reporting period commencing January 1, 2026.

(a) K-IFRS No. 1107 'Financial Instruments: Disclosures' and Amendments to K-IFRS No. 1109 'Financial Instruments'

The main amendments are as follows:

- Permit an entity, when certain criteria are met, to deem a financial liability to have been settled (derecognized) via an electronic payment system before the settlement date.
- Clarify further guidance for assessing whether a financial asset meets criteria for consisting solely of payments of principal and interest.
- Require disclosures in the financial statement, for each class of financial instrument, of the effect on the entity and the exposure to which the entity is subject from contractual terms that change the timing or amount of contractual cash flows.
- Require additional disclosures for equity instruments measured at fair value through other comprehensive income.

The amendment to the standard does not have a significant impact on the condensed consolidated interim financial statements.

(b) Annual Improvements to K-IFRS Volume 11

The main amendments are as follows:

- K-IFRS No. 1101 'First-time Adoption of Korean International Financial Reporting Standards': application of hedge accounting on first-time adoption of K-IFRS.
- K-IFRS No. 1107 'Financial Instruments: Disclosures': gains or losses on derecognition, implementation guidance.
- K-IFRS No. 1109 'Financial Instruments': accounting for derecognition of lease liabilities and definition of transaction price.
- K-IFRS No. 1110 'Consolidated Financial Statements': determination of a de facto agent.
- K-IFRS No. 1007 'Statement of Cash Flows': cost method.

The amendment to the standard does not have a significant impact on the condensed consolidated interim financial statements.

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Interim Financial Statements

June 30, 2026 and 2025 and December 31, 2025

(c) Amendments to K-IFRS No. 1107 'Financial Instruments: Disclosures' and K-IFRS No. 1109 'Financial Instruments'

The main amendments are as follows:

- Expansion of the application of hedge accounting to virtual power purchase agreements (Virtual PPAs)
- Introduction of disclosure requirements for nature-dependent power contracts that meet specified characteristics

The amendment to the standard does not have a significant impact on the condensed consolidated interim financial statements.

3.2 New standards and interpretations not yet adopted by the Group

The following new accounting standards and interpretations had been issued but were not mandatory for annual reporting period ending on December 31, 2026 reporting periods and have not been early adopted by the Group.

K-IFRS No. 1118 'Presentation and Disclosures in Financial Statements', promulgation

The Group is currently assessing the impact of this promulgation on the consolidated financial statements. This standard is effective for fiscal years beginning on or after 1 January 2027, with earlier application permitted. The main provisions are as follows:

- Presentation of specified categories and defined subtotals in the statement of profit or loss
- Provision of disclosures related to management-defined performance measures (MPMs) in the notes to the financial statements
- Improvements to aggregation and disaggregation

The Group has not yet adopted K-IFRS 1118 and is currently evaluating the impact of the standard on its consolidated financial statements. The Group has established a transition plan and is on track to prepare its first consolidated interim financial statements for the period ending March 31, 2027, and annual consolidated financial statements for the year ending December 31, 2027, in accordance with K-IFRS 1118.

3.3 Income taxes

Income tax expense for the interim period is recognized based on management's best estimate of the weighted average annual income tax rate expected for the entire financial year. The estimated average annual tax rate is applied to the pre-tax income.

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4. Operating Segments

- (a) The Group discloses segment-related information in the condensed consolidated interim financial statements in accordance with K-IFRS No. 1108, and the Group's operating segment is a single CDMO (Contract Development and Manufacturing Organization) segment. Management responsible for the Group's strategic decision-making determines the Group's operating segment.

Segment information by operating segment for the current and prior periods has been prepared after allocation of the internal transaction adjustments to operating profit.

- (b) Information for the six-month periods ended June 30, 2026 and 2025, are as follows:

<i>(in Korean won)</i>		2026		2025
Total sales	₩	2,591,068,800,766	₩	2,020,624,879,631
Intercompany sales		(13,038,744,072)		(6,842,394,991)
Net sales		2,578,030,056,694		2,013,782,484,640
Depreciations		(184,488,955,541)		(166,227,923,372)
Amortization of intangible assets		(8,968,844,772)		(7,699,041,028)
Operating profit		1,167,196,422,965		907,441,669,818

- (c) Information on segment assets and liabilities as of June 30, 2026 and December 31, 2025 is as follows:

<i>(in Korean won)</i>		June 30, 2026		December 31, 2025
Reportable segment asset	₩	12,652,621,086,337	₩	11,060,741,976,837
Investments in associates		51,938,446,870		78,098,117,569
Reportable segment Liability		4,290,697,900,998		3,609,631,328,852
Additions to non-current assets ¹		963,181,376,270		983,297,436,633

¹ The amount excludes financial instruments, and investment in associates.

- (d) Details of customers, who take over 10% of the Group's total revenue for the six-month periods ended June 30, 2026 and 2025, are as follows:

<i>(in Korean won)</i>		2026		2025
Client A	₩	386,721,374,792	₩	214,206,828,384
Client B		369,541,028,385		227,244,981,452
Client C		362,093,666,220		205,543,064,633
Client D		198,108,199,305		202,080,220,193
Client E		7,566,209,785		516,164,189,495

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- (e) Geographic revenue for the three-month and six-month periods ended June 30, 2026 and 2025, is as follows:

(in Korean won)

	2026		2025	
	Three-month	Six-month	Three-month	Six-month
Domestic	₩ 124,851,126,036	₩ 431,802,445,956	₩ 137,662,223,409	₩ 267,465,737,267
Europe	840,730,479,328	1,527,484,023,171	484,114,690,882	859,232,895,058
USA	344,864,541,187	595,834,349,213	334,239,563,067	823,492,706,600
Other	10,464,721,252	22,909,238,354	58,221,361,217	63,591,145,715
	<u>₩ 1,320,910,867,803</u>	<u>₩ 2,578,030,056,694</u>	<u>₩ 1,014,237,838,575</u>	<u>₩ 2,013,782,484,640</u>

- (f) The amount of non-current assets by region as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)

	June 30, 2026	December 31, 2025
Domestic ¹	₩ 6,360,246,944,397	₩ 6,406,271,022,280
Overseas ¹	741,214,462,198	1,019,572,500
	<u>₩ 7,101,461,406,595</u>	<u>₩ 6,407,290,594,780</u>

¹ The amount excludes financial instruments, and investment in associates and others.

5. Financial Instruments

(a) Financial assets

Categories of financial assets measured at amortized cost as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)

	June 30, 2026	December 31, 2025
	Financial assets measured at amortized cost	Financial assets measured at amortized cost
Current assets:		
Cash and cash equivalents	₩ 288,575,631,853	₩ 148,851,266,520
Short-term financial instruments	1,900,000,000,000	1,307,174,500,000
Trade and other receivables ¹	598,743,727,299	667,411,901,892
Deposits provided	24,362,857,357	29,057,433,784
	<u>2,811,682,216,509</u>	<u>2,152,495,102,196</u>
Non-current assets:		
Long-term financial instruments	6,000,000	226,947,395
Long-term borrowings	32,833,950	30,563,370
Deposits provided	19,265,930,093	10,596,804,423
	<u>19,304,764,043</u>	<u>10,854,315,188</u>
	<u>₩ 2,830,986,980,552</u>	<u>₩ 2,163,349,417,384</u>

¹ The amounts exclude the tax-related receivables and receivables due from employees.

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(b) Financial liabilities

Categories of financial liabilities as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)

		June 30, 2026		
		Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities:				
Trade and other payables ¹	₩	489,907,237,329	₩ -	₩ 489,907,237,329
Debentures		319,886,648,790	-	319,886,648,790
Short-term borrowings		46,244,999,999	-	46,244,999,999
Lease liabilities		-	40,403,725,409	40,403,725,409
		856,038,886,118	40,403,725,409	896,442,611,527
Non-current liabilities:				
Debentures		599,227,527,623	-	599,227,527,623
Lease liabilities		-	235,511,691,765	235,511,691,765
		599,227,527,623	235,511,691,765	834,739,219,388
	₩	1,455,266,413,741	₩ 275,915,417,174	₩ 1,731,181,830,915

¹ The amounts exclude the tax-related payables and accrued compensation for annual leaves, performance bonuses, and others payable to employees.

(in Korean won)

		December 31, 2025		
		Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities				
Trade and other payables ¹	₩	271,638,078,349	₩ -	₩ 271,638,078,349
Debentures		319,712,704,765	-	319,712,704,765
Short-term borrowings		-	-	-
Lease liabilities		-	7,257,974,993	7,257,974,993
		591,350,783,114	7,257,974,993	598,608,758,107
Non-current liabilities				
Debentures		599,011,716,516	-	599,011,716,516
Lease liabilities		-	1,112,062,611	1,112,062,611
		599,011,716,516	1,112,062,611	600,123,779,127
	₩	1,190,362,499,630	₩ 8,370,037,604	₩ 1,198,732,537,234

¹ The amounts exclude the tax-related payables and accrued compensation for annual leaves, performance bonuses, and others payable to employees.

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(c) *The fair values of financial instruments*

The fair values of financial instruments, together with the carrying amounts shown in the consolidated statement of financial position as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)

	June 30, 2026		December 31, 2025	
	Carrying amount ¹	Fair value	Carrying amount ¹	Fair value
Assets measured at amortized cost:				
Cash and cash equivalents	₩ 288,575,631,853	₩ 288,575,631,853	₩ 148,851,266,520	₩ 148,851,266,520
Short-term financial instruments	1,900,000,000,000	1,900,000,000,000	1,307,174,500,000	1,307,174,500,000
Long-term financial instruments	6,000,000	6,000,000	226,947,395	226,947,395
Trade and other receivables	598,743,727,299	598,743,727,299	667,411,901,892	667,411,901,892
Borrowings	32,833,950	32,833,950	30,563,370	30,563,370
Deposits provided	43,628,787,450	43,628,787,450	39,654,238,207	39,654,238,207
	<u>₩ 2,830,986,980,552</u>	<u>₩ 2,830,986,980,552</u>	<u>₩ 2,163,349,417,384</u>	<u>₩ 2,163,349,417,384</u>
Liabilities carried at amortized cost:				
Trade and other payables	489,907,237,329	489,907,237,329	271,638,078,349	271,638,078,349
Debentures	919,114,176,413	919,114,176,413	918,724,421,281	918,724,421,281
Borrowings	46,244,999,999	46,244,999,999	-	-
	<u>₩ 1,455,266,413,741</u>	<u>₩ 1,455,266,413,741</u>	<u>₩ 1,190,362,499,630</u>	<u>₩ 1,190,362,499,630</u>

¹ The Group used the carrying amount as a proxy for fair value because it is a reasonable approximation of fair value.

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(d) *Net gains or losses by category of financial instruments*

Net gains or losses on each category of financial instruments for the six-month periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)

	2026		
	Interest income (expenses)	Other income (expenses) ¹	Net income (loss)
Financial assets at amortized cost	₩ 27,261,617,344	₩ 72,261,280,286	₩ 99,522,897,630
Financial liabilities at amortized cost	(12,453,894,532)	(9,002,670,729)	(21,456,565,261)
Other liabilities	(3,395,735,606)	-	(3,395,735,606)
	<u>₩ 11,411,987,206</u>	<u>₩ 63,258,609,557</u>	<u>₩ 74,670,596,763</u>

¹ Other gains and losses include foreign currency translation gains and losses, foreign exchange gains and losses, and bad debt expenses on receivables.

(in Korean won)

	2025		
	Interest income (expenses)	Other income (expenses) ¹	Net income (loss)
Financial assets at amortized cost	₩ 21,963,782,897	₩ (82,268,918,142)	₩ (60,305,135,245)
Financial liabilities at amortized cost	(11,347,648,895)	32,518,961,884	21,171,312,989
Other liabilities	(1,202,758,866)	(946,600)	(1,203,705,466)
	<u>₩ 9,413,375,136</u>	<u>₩ (49,750,902,858)</u>	<u>₩ (40,337,527,722)</u>

¹ Other gains and losses include foreign currency translation gains and losses, foreign exchange gains and losses, and bad debt expenses on receivables.

6. Cash and Cash Equivalents

Cash and cash equivalents as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)

	June 30, 2026	December 31, 2025
Cash equivalents	₩ 288,568,921,853	₩ 148,851,266,520
Cash on hand	6,710,000	-
	<u>₩ 288,575,631,853</u>	<u>₩ 148,851,266,520</u>

7. Restricted Financial Instruments

Restricted financial instruments as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)

	June 30, 2026	December 31, 2025	Note
Long-term financial instruments	₩ 6,000,000	₩ 6,000,000	Deposits on checking accounts
	-	220,947,395	Establishment of a pledge right
	<u>₩ 6,000,000</u>	<u>₩ 226,947,395</u>	

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8. Trade and Other Receivables

Details of trade and other receivables as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)	June 30, 2026		
	Gross amount	Bad debt allowances ²	Net amount
Trade receivables	₩ 623,715,493,454	₩ (49,941,214,923)	₩ 573,774,278,531
Other receivables	27,208,178,917	(224,958,745)	26,983,220,172
Accrued income	15,013,945,089	-	15,013,945,089
Total ¹	₩ 665,937,617,460	₩ (50,166,173,668)	₩ 615,771,443,792

¹ Trade and other receivables for related parties as at June 30, 2026 and December 31, 2025, are ₩ 62,420 million and ₩ 30,399 million, respectively (Note 32).

² The Group recognized bad debt allowances by calculating the expected credit loss for lifetime expected collection period from the initial recognition of receivables (Note 34).

(in Korean won)	December 31, 2025		
	Gross amount	Bad debt allowances ²	Net amount
Trade receivables	₩ 700,931,616,269	₩ (46,203,388,819)	₩ 654,728,227,450
Other receivables	10,144,784,366	(361,049,995)	9,783,734,371
Accrued income	11,954,957,155	-	11,954,957,155
Total ¹	₩ 723,031,357,790	₩ (46,564,438,814)	₩ 676,466,918,976

¹ Trade and other receivables for related parties as at June 30, 2026 and December 31, 2025, are ₩ 62,420 million and ₩ 30,399 million, respectively (Note 32).

² The Group recognized bad debt allowances by calculating the expected credit loss for lifetime expected collection period from the initial recognition of receivables (Note 34).

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9. Contract Assets and Liabilities

- (a) Changes in contract assets and liabilities arising from contracts with customers for the six-month periods ended June 30, 2026, and 2025, are as follows:

(in Korean won)	2026			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets				
- costs to fulfill a contract	₩ 390,213,037,655	₩ 52,717,184,079	₩ (48,369,717,044)	₩ 394,560,504,690
Contract assets				
- unbilled ¹	21,386,327,960	12,155,144,610	(14,631,007,790)	18,910,464,780
Contract liabilities	539,437,151,497	53,327,817,307	(107,877,162,194)	484,887,806,610

¹ The amount of increase or decrease includes bad debt expense (reversal) (Note 34).

(in Korean won)	2025			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets				
- costs to fulfill a contract	₩ 306,960,313,251	₩ 35,501,346,930	₩ (21,498,505,658)	₩ 320,963,154,523
Contract assets				
- unbilled ¹	60,360,464,225	9,452,992,900	(50,247,968,167)	19,565,488,958
Contract liabilities	576,853,212,107	145,594,136,337	(62,252,410,322)	660,194,938,122

¹ The amount of increase or decrease includes bad debt expense (reversal) (Note 34).

Costs to fulfill a contract include costs for technology transfer and production of test batches in order to manufacture products that customers request. Such activities do not include transferring goods or services to a customer but are prerequisite for the production of goods ordered. Accordingly, they do not consist of a part of the performance obligation but are recognized as contract assets. Unbilled contract assets were recognized due to a difference between the extent of the Group's satisfaction of its performance obligation satisfied over time and the consideration billed to the customer. The Group recognizes any advance consideration received from a customer as contract liabilities, as the performance obligation is fulfilled over a period of time.

- (b) The impairment loss on contract fulfillment costs recognized in profit or loss for the six-month period ended June 30, 2026, amounted to ₩ 2,908 million, compared to ₩ 8,361 million from continuing operations for the six-month period ended June 30, 2025.

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- (c) Besides the above contract liabilities recognized, the Group classifies the amount received in advance from customers before transferring goods or services as 'advance receipts'.

Changes in advance receipts for the six-month periods ended June 30, 2026, and 2025, are as follows:

(in Korean won)	2026			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 1,265,487,264,212	₩ 908,829,077,813	₩ (649,302,895,206)	₩ 1,525,013,446,819

(in Korean won)	2025			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 1,048,552,665,805	₩ 765,424,302,233	₩ (710,292,206,727)	₩ 1,103,684,761,311

10. Inventories

Details of inventories as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)	June 30, 2026		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 909,695,887,176	₩ (8,484,811,751)	₩ 901,211,075,425
Work-in-process	631,171,857,812	(20,208,754,162)	610,963,103,650
Raw materials	670,284,323,211	(17,062,309,517)	653,222,013,694
Supplies	233,908,776,544	(56,279,623,144)	177,629,153,400
Goods in transit	1,381,146,262	-	1,381,146,262
	₩ 2,446,441,991,005	₩ (102,035,498,574)	₩ 2,344,406,492,431

(in Korean won)	December 31, 2025		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 730,367,526,210	₩ (5,576,748,170)	₩ 724,790,778,040
Work-in-process	513,638,360,394	(5,778,381,504)	507,859,978,890
Raw materials	765,337,196,132	(30,180,259,695)	735,156,936,437
Supplies	198,929,649,771	(39,575,587,014)	159,354,062,757
Goods in transit	1,002,406,598	-	1,002,406,598
	₩ 2,209,275,139,105	₩ (81,110,976,383)	₩ 2,128,164,162,722

During the six-month period ended June 30, 2026, the Group recognized ₩ 1,022,628 million (2025: ₩ 845,429 million) of inventories as an expense from continuing operations, and the amount includes loss on valuation of inventory of ₩ 4,289 million (2025: reversal of loss of inventory of ₩ 3,487 million).

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11. Other Financial Assets

Details of other financial assets as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)	June 30, 2026		December 31, 2025	
	Current	Non-current	Current	Non-current
Deposits provided	₩ 24,362,857,357	₩ 19,265,930,093	₩ 29,057,433,784	₩ 10,596,804,423
Loan	-	32,833,950	-	30,563,370
	<u>₩ 24,362,857,357</u>	<u>₩ 19,298,764,043</u>	<u>₩ 29,057,433,784</u>	<u>₩ 10,627,367,793</u>

12. Other Assets

Details of other assets as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)	June 30, 2026		December 31, 2025	
	Current	Non-current	Current	Non-current
Advance payments	₩ 18,567,938	₩ -	₩ 676,466,178	₩ -
Prepaid expenses	20,325,848,299	872,514,731	14,348,556,191	1,593,198,884
	<u>₩ 20,344,416,237</u>	<u>₩ 872,514,731</u>	<u>₩ 15,025,022,369</u>	<u>₩ 1,593,198,884</u>

13. Investments in Associates

(a) Investments in associates as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)			June 30, 2026		December 31, 2025	
			Book amount	Percentage of ownership	Book amount	Percentage of ownership
Major business location	Primary business					
SVIC No.54 New Technology Business Investment L.L.P.	Korea	Equity investment in the bio industry start-ups	₩ 47,811,365,901	33.00%	₩ 74,893,935,646	33.00%
SVIC No.64 New Technology Business Investment L.L.P.	Korea	Equity investment in the bio industry start-ups	4,127,080,969	24.75%	3,204,181,923	24.75%
			<u>₩ 51,938,446,870</u>		<u>₩ 78,098,117,569</u>	

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(b) Changes in investments in associates for the six-month periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)

		2026				
		Beginning balance	Acquisition	Share of loss	Disposal ¹	Ending Balance
SVIC No.54						
New Technology Business Investment L.L.P.	₩	74,893,935,646	₩ -	₩ (26,411,019,745)	₩ (671,550,000)	₩ 47,811,365,901
SVIC No.64						
New Technology Business Investment L.L.P.		3,204,181,923	966,982,500	(44,083,454)	-	4,127,080,969
	₩	78,098,117,569	₩ 966,982,500	₩ (26,455,103,199)	₩ (671,550,000)	₩ 51,938,446,870

¹ In May 2026, the Group received a partial return of its capital contribution from SVIC No.54 New Technology Business Investment L.L.P, which was deducted from the carrying amount of the investment.

(in Korean won)

		2025				
		Beginning balance	Acquisition	Share of profit (loss) ¹	Disposal ²	Ending Balance
SVIC No.54						
New Technology Business Investment L.L.P.	₩	50,551,281,256	₩ -	₩ 15,470,641,150	₩ (18,744,000,000)	₩ 47,277,922,406
SVIC No.64						
New Technology Business Investment L.L.P.		1,949,814,170	867,240,000	(52,168,626)	-	2,764,885,544
	₩	52,501,095,426	₩ 867,240,000	₩ 15,418,472,524	₩ (18,744,000,000)	₩ 50,042,807,950

¹ The equity method gains or losses of SVIC No. 64 New Technology Business Investment Association include the profits or losses of Samsung Bioepis Co., Ltd., which was spun off through a demerger on November 1, 2025.

² In April 2025, the Group received a partial return of its capital contribution from SVIC No.54 New Technology Business Investment L.L.P, which was deducted from the carrying amount of the investment.

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(c) Financial information of investees as at June 30, 2026 and December 31, 2025 and for the six-month periods ended June 30, 2026 and 2025, are summarized as follows:

(in Korean won)			June 30, 2026							
			Current assets	Non-current assets	Current liabilities	Non-current liabilities	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities	
SVIC No.54 New Technology Business Investment L.L.P.	₩		19,096,333,682	₩ 126,069,430,992	₩ 282,837,702	₩ -	₩ 19,093,844,481	₩ 275,863,302	₩ -	
SVIC No.64 New Technology Business Investment L.L.P.			210,132,031	16,554,695,992	89,753,391	-	210,018,107	89,753,391	-	
(in Korean won)			June 30, 2026							
			Revenue	Loss for the periods	Total comprehensive loss	Depreciation	Amortization	Interest income	Interest expense	income tax expense
SVIC No.54 New Technology Business Investment L.L.P.	₩		2,416,089,608	₩ (80,033,393,164)	₩ (80,033,393,164)	₩ -	₩ -	₩ -	₩ -	-
SVIC No.64 New Technology Business Investment L.L.P.			1,505,521	(178,114,960)	(178,114,960)	-	-	-	-	-
(in Korean won)			December 31, 2025							
			Current assets	Non-current assets	Current liabilities	Non-current liabilities	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities	
SVIC No.54 New Technology Business Investment L.L.P.	₩		31,488,112,119	₩ 195,721,645,073	₩ 258,437,056	₩ -	₩ 31,477,669,780	₩ 258,437,056	₩ -	
SVIC No.64 New Technology Business Investment L.L.P.			133,583,292	12,904,445,992	91,839,692	-	133,504,291	91,839,692	-	
(in Korean won)			June 30, 2025							
			Revenue	Income (Loss) for the periods	Total comprehensive income (loss)	Depreciation	Amortization	Interest income	Interest expense	income tax expense
SVIC No.54 New Technology Business Investment L.L.P.	₩		52,823,626,350	₩ 46,880,730,758	₩ 46,880,730,758	₩ -	₩ -	₩ -	₩ -	-
SVIC No.64 New Technology Business Investment L.L.P.			3,968,542	(175,651,939)	(175,651,939)	-	-	-	-	-

(d) Reconciliation of the investees' financial information to the carrying value of the Group's interest in associates as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)			June 30, 2026						
			Net assets	Percentage of ownership	The Group's share of net assets	Investment difference	Unrealized intercompany transactions	Others	Book amount
SVIC No.54 New Technology Business Investment L.L.P.	₩		144,882,926,972	33.00%	₩ 47,811,365,901	₩ -	₩ -	₩ -	47,811,365,901
SVIC No.64 New Technology Business Investment L.L.P.			16,675,074,632	24.75%	4,127,080,969	-	-	-	4,127,080,969
(in Korean won)			December 31, 2025						
			Net assets	Percentage of ownership	The Group's share of net assets	Investment difference	Unrealized intercompany transactions	Others	Book amount
SVIC No.54 New Technology Business Investment L.L.P.	₩		226,951,320,136	33.00%	₩ 74,893,935,646	₩ -	₩ -	₩ -	74,893,935,646
SVIC No.64 New Technology Business Investment L.L.P.			12,946,189,592	24.75%	3,204,181,923	-	-	-	3,204,181,923

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14. Property, Plant and Equipment

(a) Property, plant, and equipment as at June 30, 2026 and December 31, 2025, consist of:

(in Korean won)

		June 30, 2026	
	Acquisition cost	Accumulated depreciation	Carrying amount
Land	₩ 742,465,691,532	₩ -	₩ 742,465,691,532
Buildings	3,458,835,667,991	(334,329,938,978)	3,124,505,729,013
Structures	13,003,542,648	(2,993,828,934)	10,009,713,714
Machinery	3,515,165,637,400	(1,354,244,247,077)	2,160,921,390,323
Vehicles	1,747,004,300	(1,501,924,137)	245,080,163
Others	180,002,611,306	(115,330,163,779)	64,672,447,527
Construction-in-progress	365,164,458,963	-	365,164,458,963
	<u>₩ 8,276,384,614,140</u>	<u>₩ (1,808,400,102,905)</u>	<u>₩ 6,467,984,511,235</u>

(in Korean won)

		December 31, 2025	
	Acquisition cost	Accumulated depreciation	Carrying amount
Land	₩ 461,974,307,935	₩ -	₩ 461,974,307,935
Buildings	3,325,606,067,554	(290,478,142,494)	3,035,127,925,060
Structures	12,289,343,670	(2,829,563,323)	9,459,780,347
Machinery	3,260,480,083,369	(1,229,583,550,958)	2,030,896,532,411
Vehicles	1,696,844,668	(1,432,460,364)	264,384,304
Others	162,876,222,480	(102,108,677,083)	60,767,545,397
Construction-in-progress	430,160,651,929	-	430,160,651,929
	<u>₩ 7,655,083,521,605</u>	<u>₩ (1,626,432,394,222)</u>	<u>₩ 6,028,651,127,383</u>

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(b) Changes in property, plant and equipment for the six-month periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)

	2026							
	Beginning balance	Business combination	Acquisition	Disposal and others	Depreciation	Depreciation of government grants	Others ^{1, 2}	Ending balance
Land	₩ 461,974,307,935	₩ 13,771,940,076	₩ -	₩ -	₩ -	₩ -	₩ 266,719,443,521	₩ 742,465,691,532
Buildings	3,035,127,925,060	40,192,389,658	-	-	(43,765,513,914)	-	92,950,928,209	3,124,505,729,013
Structures	9,459,780,347	712,549,128	-	-	(163,830,188)	-	1,214,427	10,009,713,714
Machinery	2,030,896,532,411	231,135,801,993	-	(654,202,121)	(127,213,661,722)	-	26,756,919,762	2,160,921,390,323
Vehicles	264,384,304	-	3,570,000	-	(69,463,773)	-	46,589,632	245,080,163
Others	60,767,545,397	101,372,353,360	-	(26,000)	(13,276,485,944)	-	(84,190,939,286)	64,672,447,527
Construction-in-progress	430,160,651,929	65,693,110,148	171,218,318,623	-	-	-	(301,907,621,737)	365,164,458,963
	₩ 6,028,651,127,383	₩ 452,878,144,363	₩ 171,221,888,623	₩ (654,228,121)	₩ (184,488,955,541)	₩ -	₩ 376,534,528	₩ 6,467,984,511,235

¹ During the current period, ₩ 110 million was partially reclassified from intangible assets to tangible assets.

² Includes the effects of changes in foreign exchange rates.

(in Korean won)

	2025							
	Beginning balance	Business combination	Acquisition	Disposal and others	Depreciation	Depreciation of government grants	Others ^{1, 2}	Ending balance
Land	₩ 141,114,205,121	₩ -	₩ 170,480,040	₩ -	₩ -	₩ -	₩ 6,696,690	₩ 141,291,381,851
Buildings	1,720,070,324,731	-	65,724,084,602	(311,467,480)	(40,985,080,036)	-	1,484,299,511,789	3,228,797,373,606
Structures	12,421,708,301	-	-	-	(191,945,782)	2,231,477	-	12,231,993,996
Machinery	1,609,538,227,510	-	25,656,061,645	(1,463,848,627)	(120,923,174,831)	-	631,537,709,011	2,144,344,974,708
Vehicles	194,735,572	-	-	-	(79,816,026)	-	289,347,912	404,267,458
Others	57,517,575,444	-	703,358,059	(12,231,181)	(11,635,259,838)	-	13,547,674,727	60,121,117,211
Construction-in-progress	1,833,096,744,028	-	466,136,883,703	-	-	-	(2,130,127,879,852)	169,105,747,879
	₩ 5,373,953,520,707	₩ -	₩ 558,390,868,049	₩ (1,787,547,288)	₩ (173,815,276,513)	₩ 2,231,477	₩ (446,939,723)	₩ 5,756,296,856,709

¹ During the previous period, ₩ 390 million was partially reclassified to intangible assets.

² Includes the effects of changes in foreign exchange rates.

(c) Classification of depreciation for the three-month and six-month periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)

	2026		2025	
	Three-month	Six-month	Three-month	Six-month
Cost of revenue	₩ 90,190,365,299	₩ 172,298,207,939	₩ 82,511,813,232	₩ 155,635,379,146
Selling, general and administrative expenses	6,169,012,838	12,190,747,602	5,822,155,920	10,592,544,226
	₩ 96,359,378,137	₩ 184,488,955,541	₩ 88,333,969,152	₩ 166,227,923,372

(d) During the six-month period ended June 30, 2026, the Group has capitalized borrowing costs amounting to ₩ 2,590 million (2025: ₩ 835 million) on property, plant and equipment that are qualifying assets. The capitalization rate used to determine the amount of borrowing costs eligible for capitalization is 3.31% (2025: 3.82%).

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15. Intangible Assets

(a) Intangible assets as at June 30, 2026 and December 31, 2025, consist of:

(in Korean won)

		June 30, 2026				
		Acquisition cost	Accumulated amortization	Accumulated impairment loss	Government grants	Carrying amount
Software	₩	128,263,919,422	₩ (85,623,009,047)	₩ -	₩ -	₩ 42,640,910,375
Others		10,098,978,430	(4,212,361,501)	-	-	5,886,616,929
Membership		11,090,427,182	-	(521,756,000)	-	10,568,671,182
Trademarks		344,857,078	(68,344,262)	-	-	276,512,816
Patents		1,359,453,283	(137,697,198)	-	-	1,221,756,085
Land use rights		69,525,088,429	(20,741,651,387)	-	(48,783,437,042)	-
Construction-in-progress		16,199,833,717	-	-	-	16,199,833,717
	₩	236,882,557,541	₩ (110,783,063,395)	₩ (521,756,000)	₩ (48,783,437,042)	₩ 76,794,301,104

(in Korean won)

		December 31, 2025				
		Acquisition cost	Accumulated amortization	Accumulated impairment loss	Government grants	Carrying amount
Software	₩	120,442,643,625	₩ (77,167,880,120)	₩ -	₩ -	₩ 43,274,763,505
Others		4,647,883,258	(3,781,783,883)	-	-	866,099,375
Membership		14,667,427,182	-	(521,756,000)	-	14,145,671,182
Trademarks		300,465,541	(51,577,351)	-	-	248,888,190
Patents		1,199,096,273	(72,976,909)	-	-	1,126,119,364
Land use rights		69,525,088,429	(20,046,400,503)	-	(49,478,687,926)	-
Construction-in-progress		531,728,660	-	-	-	531,728,660
	₩	211,314,332,968	₩ (101,120,618,766)	₩ (521,756,000)	₩ (49,478,687,926)	₩ 60,193,270,276

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(b) Changes in intangible assets for the six-month periods ended June 30, 2026 and 2025, are as follows:

		(in Korean won)							
		2026							
		Beginning balance	Business combination	Acquisition through external purchase	Disposal and others	Amortization	Amortization of government grants	Others ^{1, 2}	Ending balance
Software	₩	43,274,763,505	₩ 6,682,853,589	₩ -	₩ -	₩ (8,456,779,954)	₩ -	₩ 1,140,073,235	₩ 42,640,910,375
Others		866,099,375	-	-	-	(430,577,618)	-	5,451,095,172	5,886,616,929
Membership		14,145,671,182	-	-	(3,577,000,000)	-	-	-	10,568,671,182
Trademarks		248,888,190	-	-	-	(16,766,911)	-	44,391,537	276,512,816
Patents		1,126,119,364	-	83,007,442	-	(64,720,289)	-	77,349,568	1,221,756,085
Land use rights		-	-	-	-	(695,250,884)	695,250,884	-	-
Construction-in-progress		531,728,660	386,174,278	17,325,006,558	-	-	-	(2,043,075,779)	16,199,833,717
Development cost		-	-	-	-	-	-	-	-
In-process R&D		-	-	-	-	-	-	-	-
Goodwill		-	-	-	-	-	-	-	-
	₩	60,193,270,276	₩ 7,069,027,867	₩ 17,408,014,000	₩ (3,577,000,000)	₩ (9,664,095,656)	₩ 695,250,884	₩ 4,669,833,733	₩ 76,794,301,104

¹ During the current period, ₩ 110 million was partially reclassified from intangible assets to property, plant and equipment.

² Includes the effects of changes in foreign exchange rates.

		(in Korean won)							
		2025							
		Beginning balance	Business combination	Acquisition through external purchase	Acquisition through internal development	Amortization	Amortization of government grants	Others ^{1, 2}	Ending balance
Software	₩	45,732,437,852	₩ -	₩ 330,314,259	₩ -	₩ (7,915,980,338)	₩ -	₩ 12,321,608,325	₩ 50,468,380,098
Others		8,429,444,459	-	141,600	-	(1,394,836,219)	-	1,397,266,382	8,432,016,222
Membership		14,542,153,050	-	1,022,000,000	-	-	-	1,982,889,992	17,547,043,042
Trademarks		109,711,171	-	-	-	(7,344,934)	-	-	102,366,237
Patents		7,248,350	-	-	-	(18,804,844)	-	734,415,440	722,858,946
Land use rights		-	-	-	-	(695,250,885)	695,250,885	-	-
Construction-in-progress		12,239,584,698	-	6,099,367,268	-	-	-	(16,046,121,398)	2,292,830,568
Development cost		2,592,989,625,355	-	-	-	(152,443,663,990)	-	306,705,800,079	2,747,251,761,444
In-process R&D		1,213,644,547,255	-	-	38,629,244,712	-	-	(306,705,800,079)	945,567,991,888
Goodwill		1,677,607,967,122	-	-	-	-	-	-	1,677,607,967,122
	₩	5,565,302,719,312	₩ -	₩ 7,451,823,127	₩ 38,629,244,712	₩ (162,475,881,210)	₩ 695,250,885	₩ 390,058,741	₩ 5,449,993,215,567

¹ During the previous period, ₩ 390 million was partially reclassified from construction-in-progress of tangible assets to intangible assets.

² Includes the effects of changes in foreign exchange rates.

(c) Classification of amortization from continuing operations for the three-month and six-month periods ended June 30, 2026 and 2025, are as follows:

		(in Korean won)					
		2026		2025			
		Three-month	Six-month	Three-month	Six-month		
Cost of revenue	₩	1,231,297,560	₩ 1,633,005,426	₩ 357,792,739	₩ 937,376,740		
Selling, general and administrative expenses		3,729,119,486	7,335,839,346	3,664,014,171	6,761,664,288		
	₩	4,960,417,046	₩ 8,968,844,772	₩ 4,021,806,910	₩ 7,699,041,028		

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16. Debentures and Borrowings

(a) Debentures and borrowings as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)	June 30, 2026				December 31, 2025			
	Current		Non-current		Current		Non-current	
Debentures	₩	319,886,648,790	₩	599,227,527,623	₩	319,712,704,765	₩	599,011,716,516
Short-term borrowings		46,244,999,999		-		-		-
		366,131,648,789		599,227,527,623		319,712,704,765		599,011,716,516

(b) Details of debentures as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)	Issue date	Maturity date	Interest rate (%)		June 30, 2026	December 31, 2025
7-2nd Public Debenture (Non-guaranteed)	2021-09-03	2026-09-03	2.19	₩	120,000,000,000	₩ 120,000,000,000
8-1st Public Debenture (Non-guaranteed)	2024-10-11	2026-10-08	3.27		200,000,000,000	200,000,000,000
8-2nd Public Debenture (Non-guaranteed)	2024-10-11	2027-10-08	3.38		600,000,000,000	600,000,000,000
Discount on debentures					(885,823,587)	(1,275,578,719)
					919,114,176,413	918,724,421,281
Current portion transferred					(319,886,648,790)	(319,712,704,765)
				₩	599,227,527,623	₩ 599,011,716,516

(c) Details of short-term borrowings as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)	Interest rate (%)		June 30, 2026	December 31, 2025
Foreign currency Short-term borrowings				
Bank of America and 1 other bank	4.29~4.45	₩	46,244,999,999	₩ -
		₩	46,244,999,999	₩ -

(d) The repayment schedule of debentures and short-term borrowings as at June 30, 2026, is as follows:

(in Korean won)	Debentures		Short-term borrowings		Total
July 1, 2026 to June 30, 2027	₩	320,000,000,000	₩	46,244,999,999	₩ 366,244,999,999
July 1, 2027 to June 30, 2028		600,000,000,000		-	600,000,000,000
	₩	920,000,000,000	₩	46,244,999,999	₩ 966,244,999,999

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17. Trade and Other Payables

Details of trade and other payables as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)	June 30, 2026		December 31, 2025	
	Current	Non-current	Current	Non-current
Trade payables	₩ 182,537,946,132	₩ -	₩ 59,814,078,880	₩ -
Liabilities under supplier finance arrangements ¹	13,596,514,195	-	13,816,198,731	-
Other payables	82,419,704,543	-	98,183,866,317	-
Accrued expenses	373,347,054,430	20,647,611,293	314,573,132,883	23,361,343,268
Total ²	₩ 651,901,219,300	₩ 20,647,611,293	₩ 486,387,276,811	₩ 23,361,343,268

¹ Liabilities under supplier finance arrangements classified as accounts payables and other payables are generally settled within 120 days (Note 31).

² Trade and other payables to related parties as of June 30, 2026 and December 31, 2025 are ₩ 14,215 million and ₩ 37,766 million, respectively (Note 32).

18. Emission Liability

(a) Emissions Allowances

The Group has been participating in Emission Trading Scheme in accordance with the Act on Allocation and Trading of Greenhouse Gas Emission since 2017.

The quantity of emission allowances for the 4th planning period (2026 ~ 2030) allocated free of charge is as follows:

(In tCO ₂ -eq)	2026	2027	2028	2029	2030	Total
Allocated free of charge	278,695	276,053	273,115	270,175	267,237	1,365,275

As of June 30, 2026, no emission allowances have been pledged as collateral.

Changes in emission permits quantities and the carrying amounts for the six-month period ended June 30, 2026, the years ended December 31, 2025 and 2024, respectively, are as follows:

(in Korean won and in tCO ₂ -eq)	December 31, 2024		December 31, 2025 ¹		2026	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
Beginning balance and Allocated free of charge	222,081	₩ -	249,469	₩ -	278,695	₩ -
Purchase/Disposal	4,438	37,501,100	-	-	-	-
Borrowing/Carrying forward	-	-	-	-	-	-
Surrendered to the government	(226,519)	(37,501,100)	-	-	-	-
Ending Balance	-	₩ -	249,469	₩ -	278,695	₩ -

¹ The quantity of emission allowances to be submitted for the year 2025 is expected to be finalized in the third-quarter of 2026.

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(b) Emission liabilities

Changes in emission liability for the six-month periods ended June 30, 2026 and 2025, are as follows:

<i>(in Korean won)</i>	2026			
	Beginning balance	Increase	Decrease	Ending balance
Emission liabilities	₩ 551,917,600	₩ -	₩ -	₩ 551,917,600

<i>(in Korean won)</i>	2025			
	Beginning balance	Increase	Decrease	Ending balance
Emission liabilities	₩ 500,890,270	₩ 183,956,015	₩ -	₩ 684,846,285

The Group estimated that it emitted 119,325 tons of carbon dioxide(tCO₂-eq) for the period ended June 30, 2026.

19. Lease

(a) The amounts relating to leases recognized as at June 30, 2026 and December 31, 2025 on the consolidated statement of financial position, are as follows:

<i>(in Korean won)</i>	June 30, 2026	December 31, 2025
Right-of-use assets¹		
Buildings	₩ 279,403,119,217	₩ 8,648,576,593
Vehicles	621,024,219	232,267,565
	<u>₩ 280,024,143,436</u>	<u>₩ 8,880,844,158</u>
Lease liabilities		
Current	₩ 40,403,725,409	₩ 7,257,974,993
Non-current	235,511,691,765	1,112,062,611
	<u>₩ 275,915,417,174</u>	<u>₩ 8,370,037,604</u>

¹ Additions to the right-of-use assets during the six-month periods ended June 30, 2026 and 2025, were ₩ 279,442 million and ₩ 5,640 million, respectively.

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- (b) The amounts relating to leases recognized for the six-month periods ended June 30, 2026 and 2025, on the condensed consolidated interim statement of comprehensive income, are as follows:

<i>(in Korean won)</i>	2026	2025
Statement of comprehensive income:		
Depreciation of right-of-use assets		
Land	₩ -	₩ 197,060,213
Buildings	12,749,926,095	4,667,940,458
Vehicles	429,047,352	473,392,307
	₩ 13,178,973,447	₩ 5,338,392,978
Interest expenses	3,355,431,422	1,202,758,866
Expense relating to variable lease payments not included in lease liabilities	1,854,881,863	1,809,450,549
Expense relating to leases of low-value assets	1,397,882,723	1,141,717,529
	₩ 19,787,169,455	₩ 9,492,319,922

- (c) Classification of depreciation of right-of-use assets continuing operations for the six-month periods ended June 30, 2026 and 2025, is as follows:

<i>(in Korean won)</i>	2026	2025
Cost of revenue	₩ 11,819,218,729	₩ 3,647,911,793
Selling, general and administrative expenses	1,359,754,718	1,690,481,185
	₩ 13,178,973,447	₩ 5,338,392,978

- (d) The total cash outflow from leases in relation to lease liabilities, low-value assets and variable lease payments during the six-month periods ended June 30, 2026 and 2025, were ₩ 13,638 million and ₩ 78,214 million, respectively.

20. Other Liabilities

Details of other liabilities as at June 30, 2026 and December 31, 2025, are as follows:

<i>(in Korean won)</i>	June 30, 2026		December 31, 2025	
	Current	Non-current	Current	Non-current
Advance receipts	₩ 1,406,313,927,523	₩ 118,699,519,296	₩ 1,189,846,533,432	₩ 75,640,730,780
Withholdings	7,389,061,138	-	11,611,996,403	-
	₩ 1,413,702,988,661	₩ 118,699,519,296	₩ 1,201,458,529,835	₩ 75,640,730,780

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21. Employee Benefits

- (a) Recognized assets and liabilities for employee benefits as at June 30, 2026, and December 31, 2025, are as follows:

(in Korean won)		June 30, 2026		December 31, 2025	
Net defined benefit liabilities (assets)	Present value of defined benefit obligations	₩	229,861,789,115	₩	200,985,537,662
	Fair value of plan assets		(222,588,627,319)		(224,281,325,241)
			7,273,161,796		(23,295,787,579)
Trade and other payables	Accrued expenses and others ¹		161,993,981,971		214,749,198,462
	Long-term accrued expenses ¹		20,647,611,293		23,361,343,268
			182,641,593,264		238,110,541,730
		₩	189,914,755,060	₩	214,814,754,151

¹ The amounts include the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

- (b) Changes in defined benefit liabilities (asset) for the six-month periods ended June 30, 2026, and 2025, are as follows:

(in Korean won)	2026					
	Defined benefit obligations		Plan assets	Net defined benefit liabilities (assets)		
Beginning balance	₩	200,985,537,662	₩	(224,281,325,241)	₩	(23,295,787,579)
Included in profit or loss :						
Current service cost		18,487,892,730		-		18,487,892,730
Past service cost		11,057,713,833		-		11,057,713,833
Interest cost (income)		5,258,349,750		(5,632,744,560)		(374,394,810)
		34,803,956,313		(5,632,744,560)		29,171,211,753
Included in other comprehensive income or loss :						
Remeasurement loss (gain)						
- Actuarial loss (gain) arising from		-		-		-
Demographic assumptions		-		-		-
Financial assumptions		-		-		-
Experience adjustment		-		-		-
- Return on plan assets		-		2,380,678,892		2,380,678,892
		-		2,380,678,892		2,380,678,892
Others :						
- Benefit payments		(4,127,793,610)		2,702,403,270		(1,425,390,340)
- Transfers in/(out)		549,465,830		(549,465,830)		-
- Other payments		(2,349,377,080)		2,791,826,150		442,449,070
		(5,927,704,860)		4,944,763,590		(982,941,270)
Ending balance	₩	229,861,789,115	₩	(222,588,627,319)	₩	7,273,161,796

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(in Korean won)	2025		
	Defined benefit obligations	Plan assets	Net defined benefit liabilities (assets)
Beginning balance	₩ 228,854,513,006	₩ (234,527,128,195)	₩ (5,672,615,189)
Included in profit or loss :			
Current service cost	20,536,358,183	-	20,536,358,183
Past service cost	-	-	-
Interest cost (income)	4,881,492,547	(5,046,636,180)	(165,143,633)
	<u>25,417,850,730</u>	<u>(5,046,636,180)</u>	<u>20,371,214,550</u>
Included in other comprehensive income or loss :			
Remeasurement loss (gain)			
- Actuarial loss (gain) arising from	-	-	-
Demographic assumptions	-	-	-
Financial assumptions	-	-	-
Experience adjustment	-	-	-
- Return on plan assets	-	1,174,934,843	1,174,934,843
	<u>-</u>	<u>1,174,934,843</u>	<u>1,174,934,843</u>
Others :			
- Benefit payments	(4,663,930,080)	3,612,548,980	(1,051,381,100)
- Transfers in/(out)	52,685,770	(52,685,770)	-
- Others	453,714,170	1,439,009,860	1,892,724,030
	<u>(4,157,530,140)</u>	<u>4,998,873,070</u>	<u>841,342,930</u>
Ending balance	<u>₩ 250,114,833,596</u>	<u>₩ (233,399,956,462)</u>	<u>₩ 16,714,877,134</u>

(c) Details of plan assets as of June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)	June 30, 2026	December 31, 2025
Principal-protected fixed income products, etc.	₩ 222,588,627,319	₩ 224,281,325,241

(d) The allocations of total expenses related to defined benefit obligation from continuing operations for the six-month periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)	2026	2025
Cost of sales	₩ 21,638,780,706	₩ 11,895,990,202
Selling and administrative expenses	7,532,431,047	3,564,309,861
Construction in progress	-	267,178,325
	<u>₩ 29,171,211,753</u>	<u>₩ 15,727,478,388</u>

(e) The expense recognized in the current period in relation to defined contribution plan from continuing operations was ₩ 531 million (2025: ₩ 263 million).

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22. Share Capital and Reserves

- (a) Details of share capital as at June 30, 2026 and December 31, 2025, are summarized as follows:

<i>(in Korean won, in shares)</i>	June 30, 2026	December 31, 2025¹
Number of shares authorized	500,000,000	500,000,000
Par value	₩ 2,500	₩ 2,500
Number of shares issued	46,290,951	46,290,951
Share capital	₩ 115,727,377,500	₩ 115,727,377,500

¹ The Group completed a spin-off of certain subsidiaries, including Samsung Bioepis Co., Ltd., effective November 1, 2025.

- (b) There were no changes in the number of issued and outstanding shares during the current and prior periods.

- (c) Details of share premium as at June 30, 2026 and December 31, 2025, are as follows:

<i>(in Korean won)</i>	June 30, 2026	December 31, 2025
Share premium	₩ 4,242,505,031,382	₩ 4,242,505,031,382
Other capital surplus	(850,578,848,000)	(850,578,848,000)
	₩ 3,391,926,183,382	₩ 3,391,926,183,382

- (d) Details of accumulated other comprehensive loss as at June 30, 2026 and December 31, 2025, are as follows:

<i>(in Korean won)</i>	June 30 2026	December 31, 2025
Remeasurements of net defined benefit liabilities	₩ (24,122,275,343)	₩ (22,379,618,394)
Foreign currency translation	15,226,613,755	2,571,026,299
	₩ (8,895,661,588)	₩ (19,808,592,095)

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23. Revenue and Cost of Revenue

Details of revenue and cost of revenue for the three-month and six-month periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)	2026		2025	
	Three-month	Six-month	Three-month	Six-month
Revenue:				
Product sales	₩ 1,293,173,823,031	₩ 2,515,874,016,162	₩ 968,500,478,958	₩ 1,889,256,101,672
Other sales	27,737,044,772	62,156,040,532	45,737,359,617	124,526,382,968
	<u>₩ 1,320,910,867,803</u>	<u>₩ 2,578,030,056,694</u>	<u>₩ 1,014,237,838,575</u>	<u>₩ 2,013,782,484,640</u>
Cost of revenue:				
Cost of product sales	₩ 445,507,665,994	₩ 834,583,505,888	₩ 355,628,018,059	₩ 692,981,340,287
Cost of other sales ¹	175,541,491,770	363,673,901,775	92,456,705,582	212,654,442,208
	<u>₩ 621,049,157,764</u>	<u>₩ 1,198,257,407,663</u>	<u>₩ 448,084,723,641</u>	<u>₩ 905,635,782,495</u>

¹ Cost of other sales includes loss on abnormal capacity, (reversal of) loss on valuation of inventories, etc.

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24. Selling, General and Administrative Expenses

Details of selling, general and administrative expenses for the three-month and six-month periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)	2026		2025	
	Three-month	Six-month	Three-month	Six-month
Salaries	₩ 20,686,015,273	₩ 40,714,410,423	₩ 20,402,526,454	₩ 41,994,039,650
Bonuses	10,739,533,941	22,670,901,006	12,762,016,780	27,326,213,926
Retirement benefit	2,667,074,520	7,205,030,200	1,708,315,346	3,310,341,700
Employee welfare	7,991,445,959	14,785,488,589	7,358,630,342	13,635,658,803
Depreciation	5,263,002,263	10,330,415,451	4,717,615,698	8,359,965,614
Amortization	3,688,866,390	7,272,851,004	3,660,840,759	6,754,885,672
Repairs and maintenance expenses	1,529,567,210	2,594,936,848	2,706,764,501	6,308,038,506
Supplies expenses	373,217,972	909,634,187	890,408,695	3,311,237,697
Utility expenses	494,847,432	1,050,640,200	448,169,849	968,591,562
Service fees	22,185,092,676	36,800,699,265	12,937,547,673	39,091,030,359
Training expenses	2,363,074,709	5,205,738,583	1,963,266,421	5,812,877,287
IT expenses	5,443,653,900	7,524,831,787	2,493,254,632	5,871,189,851
Taxes and dues	5,679,263,579	6,257,522,457	5,811,685,390	6,171,121,823
Insurance expenses	3,064,566,720	5,852,087,668	3,050,489,992	6,068,126,727
Advertising and promotion expenses	1,801,819,752	3,095,320,566	1,441,525,309	2,299,494,283
Bad debt expenses (Reversal)	327,650,698	274,053,725	(5,791,995,592)	(368,475,947)
R&D expenses	9,032,027,850	16,270,149,565	8,633,907,789	16,216,403,638
Others	10,087,147,054	23,761,514,542	3,756,012,526	7,574,291,176
	₩ 113,417,867,898	₩ 212,576,226,066	₩ 88,950,982,564	₩ 200,705,032,327

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25. Expenses by Nature

Details of expenses classified by nature for the three-month and six-month periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)	2026		2025	
	Three-month	Six-month	Three-month	Six-month
Changes in work-in-process and finished goods	₩ (107,465,205,514)	₩ (235,432,044,531)	₩ (68,619,777,387)	₩ (119,448,628,715)
Changes in costs to fulfill a contract	(5,622,415,991)	(4,347,467,035)	(49,111,414,299)	(37,570,339,925)
Raw materials and supplies used	271,898,337,539	547,980,452,524	239,052,196,230	430,285,767,027
Employee benefits	225,700,557,140	418,311,027,430	191,374,822,036	362,085,212,473
Depreciation and amortization	101,319,795,183	193,457,800,313	92,355,776,062	173,926,964,400
Supplies expenses	47,954,612,209	94,275,519,552	34,755,904,050	72,870,835,773
Utility expenses	31,288,339,002	60,222,064,425	28,664,273,164	55,674,573,057
Service fees	43,000,070,013	71,845,840,886	27,287,517,349	63,525,786,164
Repairs and maintenance	23,773,343,784	40,314,853,936	23,457,310,110	38,092,823,817
Others	102,619,592,297	224,205,586,229	17,819,098,890	66,897,820,751
Total cost of sales, and selling, general and administrative expenses ¹	₩ 734,467,025,662	₩ 1,410,833,633,729	₩ 537,035,706,205	₩ 1,106,340,814,822

¹ This refers to the sum of cost of sales and selling and administrative expenses on the statement of profit or loss.

26. Other Income and Expenses

(a) Details of other income for the three-month and six-month periods ended June 30, 2026, and 2025, are as follows:

(in Korean won)	2026		2025	
	Three-month	Six-month	Three-month	Six-month
Rental incomes	₩ 147,472,821	₩ 296,459,221	₩ 149,102,290	₩ 291,226,358
Fees incomes	59,924	864,773	215,675	790,605
Gain on disposal of property, plant and equipment	55,910,000	55,910,000	168,217,282	664,038,023
Gain on lease cancellation	136,185	373,940	-	173,111
Miscellaneous gains	8,042,975,151	10,348,007,411	118,737,978	199,784,808
	₩ 8,246,554,081	₩ 10,701,615,345	₩ 436,273,225	₩ 1,156,012,905

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- (b) Details of other expenses for the three-month and six-month periods ended June 30, 2026 and 2025, are as follows:

	2026		2025	
	Three-month	Six-month	Three-month	Six-month
(in Korean won)				
Donations	₩ -	₩ 8,282,853	₩ 147,871,214	₩ 813,232,307
Loss on disposal of property, plant and equipment	1,296,560	1,296,560	10,301,401	644,914,543
Loss on disposal of Intangible assets	77,000,000	77,000,000	-	-
Loss on retirement of property, plant and equipment	654,150,121	654,168,121	56,462,409	343,939,984
Miscellaneous losses	86,169	6,520,653	49,761,943	50,010,346
	₩ 732,532,850	₩ 747,268,187	₩ 264,396,967	₩ 1,852,097,180

27. Finance Income and Costs

- (a) Details of finance income for the three-month and six-month periods ended June 30, 2026 and 2025, are as follows:

	2026		2025	
	Three-month	Six-month	Three-month	Six-month
(in Korean won)				
Interest income	₩ 13,287,561,591	₩ 27,261,617,344	₩ 10,531,220,516	₩ 21,963,782,897
Gain on foreign currency translations	(6,446,455,519)	34,270,404,271	4,332,244,763	8,135,036,729
Gain on foreign currency transactions	26,913,812,664	56,842,153,400	18,986,839,513	42,462,276,757
	₩ 33,754,918,736	₩ 118,374,175,015	₩ 33,850,304,792	₩ 72,561,096,383

- (b) Details of finance costs for the three-month and six-month periods ended June 30, 2026 and 2025, are as follows:

	2026		2025	
	Three-month	Six-month	Three-month	Six-month
(in Korean won)				
Interest expenses	₩ 8,775,796,802	₩ 15,922,172,819	₩ 5,156,526,634	₩ 12,550,407,761
Loss on foreign currency translations	(2,973,206,265)	2,023,619,176	31,215,233,726	33,884,470,505
Loss on foreign currency transactions	15,744,069,064	25,707,675,213	32,000,251,003	66,832,221,786
Guarantee fee	194,299,386	194,299,386	-	-
	₩ 21,740,958,987	₩ 43,847,766,594	₩ 68,372,011,363	₩ 113,267,100,052

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28. Income Tax Expense

Income tax expense is recognized based on the best estimate of weighted average annual income tax rate expected for the full financial year.

Income tax expense estimated for the six-month period ended June 30, 2026, is ₩ 325,322 million. The estimated average annual income tax rate used for the year ending December 31, 2026, is 26.55%.

The Group is within the scope of the OECD Pillar Two rules, which may result in top-up tax liabilities if the GloBE effective tax rate in a jurisdiction is below 15%. Based on an assessment using 2024 country-by-country reporting and 2025 financial data, the Group expects that either the transitional safe harbour rules will apply or effective tax rates will be at or above 15% in most jurisdictions. As a result, no material top-up tax has been recognized as of the reporting date. Accordingly, there is no amount recognized by the Group as current tax expense related to Pillar Two income taxes. In addition, the Group applied the exception to the recognition and disclosure of deferred tax assets and liabilities related to Pillar Two income taxes, and accordingly, did not recognize or disclose information about deferred tax assets and liabilities related to Pillar Two income taxes.

29. Earnings per Share

(a) Basic earnings per share

Earnings per share for the three-month and six-month periods ended June 30, 2026, and 2025, are calculated as follows:

(in Korean won and in shares)	2026		2025	
	Three-month	Six-month	Three-month	Six-month
Profit for the period	₩ 430,654,182,174	₩ 899,899,606,847	₩ 324,386,142,540	₩ 699,939,693,469
Weighted-average number of ordinary shares outstanding	46,239,518	46,239,518	71,174,000	71,174,000
Basic earnings per share from continuing operations	₩ 9,314	₩ 19,462	₩ 4,687	₩ 9,342
Basic earnings per share from discontinued operations	-	-	(129)	492

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(b) Weighted-average number of ordinary shares outstanding

Details of change in the weighted-average number of ordinary shares outstanding for period ended June 30, 2026, and 2025, are as follows:

<i>(in shares)</i>	<u>2026</u>	<u>2025</u>
Beginning number of ordinary shares issued	46,290,951	71,174,000
Treasury stock effect ¹	(51,433)	-
Weighted-average number of ordinary shares outstanding	46,239,518	71,174,000

¹ The Group established Samsung Epis Holdings Co., Ltd. through a spin-off as of November 1, 2025, and as a result, acquired fractional shares arising from the spin-off as treasury shares (common shares: 51,433)

(c) Diluted earnings per share

Because the Group has not issued any potential ordinary shares, basic earnings per share and diluted earnings per share are the same.

30. Provision Liabilities

Change in the provision liabilities for the six-month periods ended June 30, 2026 and 2025, are as follows:

<i>(in Korean won)</i>	<u>2026</u>	<u>2025</u>
	Provision for restoration costs¹	Provision for restoration costs¹
Beginning balance	₩ -	₩ -
Business combination	5,864,527,245	-
Effects of changes in foreign exchange rates	184,355,612	-
Ending balance	6,048,882,857	-
Current liabilities	-	-
Non-current liabilities	6,048,882,857	-

¹ The estimated costs of restoration for certain buildings of Human Genome Sciences, Inc., which were acquired on March 31, 2026, was set as a provision.

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31. Commitments and Contingencies

- (a) As of June 30, 2026, details of the Group's borrowings commitment with financial institutions are summarized as follows:

(in Korean won, US dollar)

Financial institutions	Type	Currency	Limit	Currency	Disbursed Amount
Woori Bank	Bank overdraft	KRW	10,000,000,000	KRW	-
	B2B PLUS	KRW	5,760,000,000	KRW	-
KEB Hana Bank	Bank overdraft	KRW	10,000,000,000	KRW	-
Shinhan Bank	General loan	KRW	17,000,000,000	KRW	-
	Bank overdraft	KRW	10,000,000,000	KRW	-
Bank of America	General loan	USD	100,000,000	USD	15,000,000
Citibank	General loan	USD	100,000,000	USD	15,000,000

- (b) As of June 30, 2026, details of guarantees provided by financial institutions are summarized as follows:

(in Korean won, US dollar)

	Remarks	Limit		Payment guarantee	
		Currency	Amount	Currency	Amount
Woori Bank	Payment guarantee	KRW	9,500,000,000	KRW	2,665,774,470
Kookmin Bank	Foreign currency payment guarantee	KRW	30,000,000,000	KRW	-
Seoul Guarantee Insurance Company	Performance guarantee and others	KRW	25,230,111,205	KRW	25,230,111,205
J.P. Morgan	Performance guarantee	USD	24,297,843.62	USD	24,297,843.62

- (c) If the Group does not comply with the commitments below, financial institutions may require an early redemption of debenture. Details of debt covenants related to debenture with financial institutions as of June 30, 2026, are as follows:

Issuance	Face value	Financial ratio maintenance	Collateral restriction	Asset sale limit	Governance restriction
7-2nd Debenture	₩ 120 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business Company subject to cross-shareholding restrictions
8-1st Debenture	₩ 200 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business Company subject to cross-shareholding restrictions
8-2nd Debenture	₩ 600 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business Company subject to cross-shareholding restrictions

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- (d) In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Group is exempt from the full amount of rent because the Group meets the requirements for exemption of rent in accordance with the Common Property Management Ordinance of Incheon. The Group recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value.

The period of land use without payment and exemption requirement of the full amount of rent are as follows:

(i) Period

The lease term is 50 years in total. The initial lease period is 20 years from the date of the land lease agreement, April 28, 2011, and the Group may renew the contract in successive 10-year increments.

(ii) Exemption requirement

The Group whose foreign investment amounts to more than USD 20 million for 5 years since the land lease contract date is subject to the exemption from Article 32 of Common Property Management Ordinance of Incheon. Afterwards, the foreign invested enterprises that meet the average daily employee count of above 300, are subject to exemption.

- (e) As of June 30, 2026, there are a total of 3 pending lawsuits of stock transaction damages related to the Group's accounting and disclosure (Note 37) and the total amount of litigation is ₩ 8,920 million. There are 2 other lawsuits and the amount of litigation is ₩ 5,845 million.
- (f) Contractual obligation to purchase property, plant and equipment and intangible assets are as of June 30, 2026 are ₩ 226,391 million, of which the amount committed to related parties including Samsung E&A, Co., Ltd. is ₩ 28,125 million.
- (g) In November 2023, the Group entered into an investment agreement with a limit of total ₩ 17,820 million for SVIC No.64 New Technology Business Investment L.L.P. until November 2033.
- (h) The Group entered into the land purchase agreement with Incheon Free Economic Zone (IFEZ) for the second Bio Campus on July 18, 2022, and the purchase price is ₩ 426 billion. The Group must carry out all procedures, such as facility construction plans and approval for use, within 10 years from the enforcement date of the purchase agreement. In addition, from the effective date of the purchase agreement until the completion of the implementation of the business plan, the Group is not permitted to provide the land and facilities for the relevant purpose as collateral, such as by creating a mortgage, or to sell them to a third party. Failure to comply with the foregoing may result in the rescission of the sale and purchase agreement.

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- (i) The Group entered into the land purchase agreement with Incheon Free Economic Zone (IFEZ) for the third Bio Campus on November 28, 2025, and the purchase price is ₩ 248.7 billion. The Group must carry out all procedures, such as facility construction plans and approval for use, within 9 years from the enforcement date of the purchase agreement. In addition, from the effective date of the purchase agreement until the completion of the implementation of the business plan, the Group is not permitted to provide the land and facilities for the relevant purpose as collateral, such as by creating a mortgage, or to sell them to a third party. Failure to comply with the foregoing may result in the rescission of the sale and purchase agreement or the imposition of liquidated damages. For the six-month periods ended June 30, 2026, the remaining purchase consideration was fully paid and transferred to land.
- (j) The Group completed the acquisition of Human Genome Sciences, Inc., which owns a bio-production facility in the United States, from GlaxoSmithKline Holdings (America) Inc. on March 31, 2026, through the payment of the transaction consideration. As of June 30, 2026, subsequent settlement procedures for a portion of the transaction consideration are currently in progress. In addition, the Parent Company is obligated to guarantee payments for certain lease contracts of its subsidiary, Human Genome Sciences, Inc.
- (k) In April 2026, the Parent Company entered into a guarantee agreement with Bank of America and Citibank for the loan limit of its subsidiaries, Samsung Biologics America, Inc.
- (l) The Group has entered into a supplier financing agreement with financial institutions to support the cash flow of strategic suppliers. Under the agreement, the bank acquires the rights to certain trade receivables of the suppliers. After this acquisition, the Group cannot directly make early payments to the suppliers, nor can it offset the liabilities with the receivables obtained from the suppliers. However, the Group has determined that it is appropriate to continue to present the related amounts in trade payables and other payables on the statement of financial position, as the terms of the trade payables have not substantially changed.

Details of the carrying amount of liabilities under supplier financing arrangements as of June 30, 2026, and December 31, 2025, are as follows:

<i>(in Korean won)</i>	June 30, 2026	December 31, 2025
Liabilities under supplier financing arrangements	₩ 13,596,514,195	₩ 13,816,198,731
Liabilities under supplier financing arrangements where financial institutions have paid the suppliers ¹	-	-

¹ There were no significant business combinations or exchange rate differences that would affect liabilities under supplier financing arrangements. Additionally, there were no non-cash changes from trade and other payables to liabilities under supplier financing arrangements as of June 30, 2026 and December 31, 2025.

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The Group determined that it is not a party to the cash flows when the financial institution makes payments to the suppliers. Accordingly, the Group presents such cash outflows as operating cash flows when making payments to the financial institution.

Liabilities under supplier financing arrangements are short-term, and their carrying amount is considered a reasonable approximation of fair value. Changes to the supplier financial agreement are as follows, and all other terms are the same as those for trade and other payables to the respective suppliers.

Range of maturity	June 30, 2026	December 31, 2025
Liabilities under supplier financing arrangements	Within 120 days from invoice issuance date	Within 120 days from invoice issuance date
Trade payables or other payables not part of supplier financing arrangements (same business)	Within 30 days from invoice issuance date	Within 30 days from invoice issuance date

32. Related Parties

- (a) As of June 30, 2026, Samsung C&T Corporation is a parent company, and the percentage of ownership it has over the Group is 43.06%.
- (b) Details of related parties as of June 30, 2026, are as follows:

Relationship	Name of entity
Parent Company	Samsung C&T Corporation
Entity which has significant influence on the Group	Samsung Electronics Co., Ltd
Associates	SVIC No.54 New Technology Business Investment L.L.P., SVIC No.64 New Technology Business Investment L.L.P.
Others	Samsung Bioepis Co., Ltd, SAMSUNG WELSTORY INC., Samsung C&T Deutschland GmbH, Samsung Research America, Inc., SAMSUNG ELECTRONICS SALES Co., Ltd., SAMOO Architects & Engineers, Samsung Electronics America, Inc., Seoul Lake Side Co., Ltd.
The Enterprise Group ¹	Samsung Card Co., Ltd., Samsung E&A, Co., Ltd., S-1 Corporation, Samsung SDS Co., Ltd., Samsung Global Research, Multicampus Corporation, Samsung Fire & Marine Insurance Co., Ltd., Samsung Life Insurance Co., Ltd., Hotel Shilla Co., Ltd., Cheil Worldwide Inc., Samsung Securities Co.,Ltd, SBTM Corporation, SECUI Corporation, SHP Corporation, Miracom Inc., Samsung SDS America Inc. and others

¹ Although the entities are not the related party of the Group in accordance with K-IFRS No. 1024, the entities belong to the Business Group designated as a conglomerate to which the Group also belongs in accordance with the Monopoly Regulation and Fair Trade Act.

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(c) Outstanding balances with related parties as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)

		June 30, 2026					
		Receivables				Payables	
		Trade receivables	Other receivables	Other payables and others		Advance receipts	Contract liabilities
Parent Company							
Samsung C&T Corp.	₩	-	₩ 1,716,000	₩ 53,999,000	₩	-	₩ -
Entity which has significant influence							
Samsung Electronics Co., Ltd		-	-	6,469,312,626		-	-
Others							
Samsung Bioepis Co., Ltd.		62,226,010,818	42,791,682	-		120,448,418,151	43,984,563,592
SAMSUNG WELSTORY INC.		-	-	1,612,122,039		-	-
SAMSUNG ELECTRONICS SALES Co., Ltd.		-	-	-		-	-
SAMOO Architects & Engineers		-	-	27,500,000		-	-
Samsung C&T Deutschland GmbH		-	-	613,797,453		-	-
Samsung Electronics America, Inc.		-	-	208,223,122		-	-
Samsung Research America, Inc.		-	-	4,543,571		-	-
The Enterprise Group							
SAMSUNG E&A Co., Ltd.		-	-	161,040,000		-	-
SAMSUNG SDS Co., Ltd.		-	-	2,250,935,315		-	-
Others ¹		-	149,439,620	2,813,829,470		-	-
	₩	62,226,010,818	₩ 193,947,302	₩ 14,215,302,596	₩	120,448,418,151	₩ 43,984,563,592

¹ Transactions with Samsung Card Co., Ltd., S-1 Corporation, Samsung Global Research, Samsung Fire & Marine Insurance Co., Ltd., Cheil Worldwide Inc., Multicampus Corporation, Hotel Shilla Co., Ltd., SHP Corporation, Samsung SDS America, Inc. are included.

(in Korean won)

		December 31, 2025					
		Receivables				Payables	
		Trade receivables	Other receivables	Other payables and others		Advance receipts	Contract liabilities
Parent Company							
Samsung C&T Corp.	₩	-	₩ 3,432,000	₩ 59,452,800	₩	-	₩ -
Entity which has significant influence							
Samsung Electronics Co., Ltd		-	-	12,378,438,601		-	-
Others							
Samsung Bioepis Co., Ltd.		30,138,121,351	32,022,798	-		44,172,152,086	53,003,379,736
SAMSUNG WELSTORY INC.		-	-	1,567,103,686		-	-
SAMSUNG ELECTRONICS SALES Co., Ltd.		-	-	11,419,400		-	-
SAMOO Architects & Engineers		-	-	-		-	-
Samsung C&T Deutschland GmbH		-	-	354,090,037		-	-
Samsung Electronics America, Inc.		-	-	99,049,712		-	-
Samsung Research America, Inc.		-	-	-		-	-
The Enterprise Group							
SAMSUNG E&A Co., Ltd.		-	-	8,037,388,700		-	-
SAMSUNG SDS Co., Ltd.		-	73,711,000	10,602,973,659		-	-
Others ¹		-	151,267,113	4,655,962,465		-	-
	₩	30,138,121,351	₩ 260,432,911	₩ 37,765,879,060	₩	44,172,152,086	₩ 53,003,379,736

¹ Transactions with Samsung Card Co., Ltd., S-1 Corporation, Samsung Global Research, Samsung Fire & Marine Insurance Co., Ltd., Cheil Worldwide Inc., SBTM Corporation, Multicampus Corporation, SHP Corporation, Samsung SDS America, Inc. are included.

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(d) Significant transactions which occurred in the normal course of business with related parties for the six-month periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)

(in Korean won)

	2026									
	Revenue				Expenses				Asset acquisition	
	Sales		Others		Service fees		Others			
Parent Company										
Samsung C&T Corp.	₩	-	₩	1,560,000	₩	544,580,000	₩	212,165,455	₩	-
Entity which has significant influence										
Samsung Electronics Co., Ltd		-		-		4,955,379,142		36,246,000		46,363,636
Associate										
Aimed Bio Inc. ¹		-		-		-		-		-
Others										
Samsung Bioepis Co., Ltd.	369,541,028,385			-		-		-		-
SAMSUNG WELSTORY INC.	-			9,000,000		-		8,825,854,741		-
SAMSUNG ELECTRONICS SALES Co., Ltd.	-			11,550,000		-		36,884,090		-
Seoul Lake Side Co., Ltd.	-			-		-		-		-
SAMOO Architects & Engineers	-			-		25,000,000		-		785,000,000
Samsung C&T Deutschland GmbH	-			-		-		2,056,751,656		-
Samsung Electronics America, Inc.	-			-		202,878,076		-		-
Samsung Research America, Inc.	-			-		-		26,205,330		-
The Enterprise Company										
SAMSUNG E&A CO.,LTD	-			-		-		-		9,576,008,000
S-1 Corporation	-			-		5,252,014,163		156,754,000		140,660,000
SAMSUNG SDS CO., LTD.	-			7,023,305		786,522,500		12,106,566,991		9,140,517,944
SAMSUNG FIRE & MARINE INSURANCE CO.,LTD ²	-			10,654,313,410		-		1,291,859,771		-
Samsung Life Insurance co., Ltd ²	-			751,875,893		-		29,002,596		-
SAMSUNG SECURITIES CO.,LTD ²	-			700,431,041		10,345,907		-		-
Others ³	-			19,399,039		84,152,500		3,720,997,450		-
	₩	369,541,028,385	₩	12,155,152,688	₩	11,860,872,288	₩	28,499,288,080	₩	19,688,549,580

¹ The equity interest held by Samsung Bioepis Co., Ltd. was spun off and, consequently, excluded from associates during the current period.

² Other revenue includes actual return on plan assets recognized as deduction of retirement benefits. As of June 30, 2026, the Company deposited ₩ 37,855 million (December 31, 2025: ₩ 42,147 million) in Samsung Fire & Marine Insurance Co., Ltd, ₩ 46,666 million (December 31, 2025: ₩ 45,918 million) in Samsung Life Insurance Co., Ltd, and ₩ 49,412 million (December 31, 2025: ₩ 48,711 million) in Samsung SECURITIES Co., Ltd as plan assets.

³ It includes transactions with Samsung Card Co., Ltd., Samsung Global Research, Multicampus Corporation, Cheil Worldwide Inc., SBTM Corporation, SECUI Corporation, SHP Corporation, Samsung SDS America, Inc.

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	(in Korean won)									
	2025									
	Revenue				Expenses				Asset acquisition	
	Sales		Others		Service fees		Others			
Parent Company										
Samsung C&T Corp.	₩	-	₩	1,050,000	₩	764,537,755	₩	360,499,455	₩	-
Entity which has significant influence										
Samsung Electronics Co., Ltd		-		-		5,187,075,423		30,547,000		799,000,000
Associate										
Aimed Bio Inc. 1		259,594,074		-		-		373,522,129		-
Others										
Samsung Bioepis Co., Ltd.		-		-		-		-		-
SAMSUNG WELSTORY INC.		-		11,045,950		-		10,107,287,961		-
SAMSUNG ELECTRONICS SALES Co., Ltd.		-		11,550,000		-		52,793,819		-
Seoul Lake Side Co., Ltd.		-		-		-		660,000		-
SAMOO Architects & Engineers		-		-		90,300,000		-		-
Samsung C&T Deutschland GmbH		-		-		-		747,482,554		-
Samsung Electronics America, Inc.		-		-		56,667,054		-		-
Samsung Research America, Inc.		-		-		-		24,740,027		-
The Enterprise Company										
SAMSUNG E&A CO.,LTD		-		-		14,940,640,000		10,000,000,000		365,468,291,741
S-1 Corporation		-		3,720,000		7,527,531,400		636,593,992		6,297,479
SAMSUNG SDS CO., LTD.		-		6,056,051		2,644,233,619		13,468,364,493		546,362,485
SAMSUNG FIRE & MARINE INSURANCE CO.,LTD1		-		621,492,165		4,464,000		1,075,076,749		-
Samsung Life Insurance co., Ltd1		-		1,918,679,173		231,141,579		30,837,155		-
SAMSUNG SECURITIES CO.,LTD1		-		638,522,827		43,994,873		-		-
Others2		-		31,408,867		419,496,019		6,328,160,423		37,600,000
	₩	259,594,074	₩	3,243,525,033	₩	31,910,081,722	₩	43,236,565,757	₩	366,857,551,705

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits.

² It includes transactions with Samsung Card Co., Ltd., Samsung Global Research, Multicampus Corporation, Cheil Worldwide Inc., SBTM Corporation, SECUI Corporation, Hotel Shilla Co., Ltd., SHP Corporation, MIRACOM Inc. and Samsung SDS America, Inc..

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- (e) The compensation paid or payable to key management for employee services for the six-month periods ended June 30, 2026 and 2025, are as follows:

<i>(in Korean won)</i>		2026		2025
Short-term employee benefits	₩	3,059,039,820	₩	2,750,499,910
Long-term employee benefits		3,272,720,952		4,593,609,370
Retirement benefits		292,472,928		263,300,809
	₩	<u>6,624,233,700</u>	₩	<u>7,607,410,089</u>

Key management refers to the registered directors (including non-executives). Compensation of the Group's key management personnel includes salaries, non-cash benefits, and contributions to a post-employment defined benefit plan. In addition, the Group has granted long-term incentives to the Group's key management personnel based on its three-year management performance. The estimated amount of liabilities arising from such incentives are recognized as accrued expenses and long-term accrued expenses.

- (f) Financing transactions with related parties for the six-month periods ended June 30, 2026 and 2025, are as follows:

<i>(in Korean won)</i>		2026		2025	Description
Associates					
SVIC No.54 New Technology Business Investment L.L.P.	₩	(671,550,000)	₩	(18,744,000,000)	Recoupment of investment
SVIC No.64 New Technology Business Investment L.L.P.		966,982,500		867,240,000	Equity contribution in cash

33. Consolidated Interim Statements of Cash Flows

- (a) The Group has prepared the cash flows from operating activities using the indirect method. The adjustments related to cash flows from operating activities and the changes in assets and liabilities due to operating activities for the six-month periods ended June 30, 2026 and 2025 are as follows:

<i>(in Korean won)</i>		2026		2025
Cash flows from operating activities	₩	1,748,182,573,754	₩	1,571,962,856,676
Profit for the period		899,899,606,847		699,939,693,469
Adjustments for:		552,146,663,273		602,197,384,998
Retirement benefits		29,171,211,753		20,371,214,550
Depreciation		184,488,955,541		173,813,045,036
Amortization of intangible assets		8,968,844,772		161,780,630,325
Depreciation of right-of-use assets		13,178,973,447		6,003,930,800
Loss on valuation of inventories		4,289,237,386		126,928,950
Impairment loss on contract assets		2,907,863,831		8,360,689,606

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Loss on retirement of property, plant and equipment	654,168,121	343,939,984
Gain on disposal of property, plant and equipment	(55,910,000)	(664,038,023)
Loss on disposal of property, plant and equipment	1,296,560	653,399,152
Loss on disposal of intangible assets	77,000,000	-
Donation	-	4,172,865
Gain on foreign currency translation	(34,270,404,271)	(14,100,530,676)
Loss on foreign currency translation	2,023,619,176	61,494,716,237
Gain on valuation of derivatives	-	(545,037,863)
Cost of emissions	-	183,956,015
Interest income	(27,261,617,344)	(25,607,514,890)
Interest expense	15,922,172,819	18,178,360,675
Gain on valuation of financial assets at fair value through profit or loss	-	(759,344,046)
Bad debt expense (reversal)	274,053,725	(368,475,947)
Share of profit or loss of associates	26,455,103,199	(15,418,472,524)
Income tax expense	325,322,468,498	208,351,588,794
Others	(373,940)	(5,774,022)
	<u>552,146,663,273</u>	<u>602,197,384,998</u>
Change in operating assets and liabilities:		
Decrease (Increase) in trade and other receivables	74,798,165,524	375,299,763,667
Decrease (Increase) in inventories	(127,261,594,043)	(258,974,206,887)
Decrease (Increase) in deposits provided	(4,360,000,000)	10,801,512,970
Decrease (Increase) in contract assets	(3,935,248,385)	(11,228,459,414)
Decrease (Increase) in other assets	(2,807,790,617)	40,410,617,185
Increase (Decrease) in trade and other payables	145,117,595,427	(52,704,914,242)
Increase (Decrease) in contract liabilities	(54,549,344,887)	32,364,549,379
Increase (Decrease) in advance receipts	259,526,182,607	55,132,095,506
Increase (Decrease) in unearned revenue	-	82,357,337,181
Increase (Decrease) in other liabilities	11,033,728,348	(2,581,136,036)
Retirement benefits paid	(1,425,390,340)	(1,051,381,100)
	<u>₩ 296,136,303,634</u>	<u>₩ 269,825,778,209</u>

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(b) Significant transactions not involving cash flows of investing and financing activities for the six-month periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)

		2026		2025
Other payables due to acquisition of property, plant and equipment and intangible assets	₩	36,508,820,117	₩	350,777,493,569
Transfer of construction-in-progress to property, plant and equipment and intangible assets		302,540,695,939		2,452,879,801,329
Changes in right-of-use assets and lease liabilities		775,186,433		3,816,464,026

(c) Changes in liabilities arising from financial activities for the six-month periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)

	2026							
	Current portion of debentures	Debentures	Short-Term Borrowings	Current Portion of Long-Term Borrowings	Long-Term Borrowings	Lease liabilities	Total	
Beginning Balance	₩ 319,712,704,765	₩ 599,011,716,516	₩ -	₩ -	₩ -	₩ 8,370,037,604	₩ 927,094,458,885	
Changes from Financing Cash Flows:								
Proceeds from Borrowings	-	-	44,453,486,100	-	-	-	44,453,486,100	
Repayments of Borrowings	-	-	-	-	-	-	-	
Principal Repayment of Lease Liabilities	-	-	-	-	-	(7,017,864,088)	(7,017,864,088)	
Others:								
Effects of changes in foreign exchange rates	-	-	1,791,513,899	-	-	4,954,132,577	6,745,646,476	
Debt discount Amortization	173,944,025	215,811,107	-	-	-	-	389,755,132	
Lease Changes	-	-	-	-	-	775,186,433	775,186,433	
Changes in the Scope of Consolidation	-	-	-	-	-	268,833,924,648	268,833,924,648	
Ending Balance	₩ 319,886,648,790	₩ 599,227,527,623	₩ 46,244,999,999	₩ -	₩ -	₩ 275,915,417,174	₩ 1,241,274,593,586	

(in Korean won)

	2025												
	Current portion of debentures		Debentures		Short-Term Borrowings		Current Portion of Long-Term Borrowings		Long-Term Borrowings		Lease liabilities		Total
Beginning Balance	₩	-	₩	917,756,707,992	₩	207,000,000,000	₩	120,000,000,000	₩	95,000,000,000	₩	146,482,767,357	₩ 1,486,239,475,349
Changes from Financing Cash Flows:													
Proceeds from Borrowings		-		-		-		-		45,000,000,000		-	45,000,000,000
Repayments of Borrowings		-		-		-		(45,000,000,000)		-		-	(45,000,000,000)
Principal Repayment of Lease Liabilities		-		-		-		-		-		(72,427,448,922)	(72,427,448,922)
Others:													
Effects of changes in foreign exchange rates		-		-		-		-		-		(124,712,230)	(124,712,230)
Debt discount Amortization		-		373,525,726		-		-		-		-	373,525,726
Lease Changes		-		-		-		-		-		3,816,464,026	3,816,464,026
Changes in the Scope of Consolidation		-		-		-		-		-		-	-
Ending Balance	₩	-	₩	918,130,233,718	₩	207,000,000,000	₩	75,000,000,000	₩	140,000,000,000	₩	77,747,070,231	₩ 1,417,877,303,949

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34. Financial Risk Management

The Group is exposed to credit risk, liquidity risk, and market risk in connection with its financial instruments. This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital. Further quantitative disclosures are included throughout these financial statements

(a) Risk management policy

The Group's risk management policies are established to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The Board of Directors oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

(b) Credit risk

The Group assesses the credit quality of the customer, comprehensively taking into account its financial information and pipeline development stages from the point when the contract is made. Also, the Group periodically evaluates the credit worthiness of each customer or counterparty through the analysis of its financial information, historical transaction records and other factors.

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's receivables from customers. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposures to credit risk as of June 30, 2026 and December 31, 2025, are as follows:

<i>(in Korean won)</i>	June 30, 2026		December 31, 2025	
Cash and cash equivalents ¹	₩	288,568,921,853	₩	148,851,266,520
Short-term financial instruments		1,900,000,000,000		1,307,174,500,000
Long-term financial instruments		6,000,000		226,947,395
Trade and other receivables		598,743,727,299		667,411,901,892
Loan		32,833,950		30,563,370
Deposits provided		43,628,787,450		39,654,238,207
Contract assets - unbilled		18,910,464,780		21,386,327,960
	₩	2,849,890,735,332	₩	2,184,735,745,344

¹ Cash on hands held by the Group is excluded.

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The Group applies the simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade and other receivables and contract assets.

As contract assets share similar risk characteristics with trade and other receivables arising from the same type of contracts, the Group has determined that the loss rates for trade and other receivables represent a reasonable estimate of the loss rates for contract assets.

The Group applies expected credit loss rates considering the forward-looking estimates and probability of default in prior periods for customers with objective evidence of impairment. The Group considered that there was evidence of impairment if any of the following indicators were present:

- Significant financial difficulties of the debtor
- Probability that the debtor will enter bankruptcy or financial reorganization, and
- Default or delinquency in payments

On that basis, the loss allowance as at June 30, 2026 and December 31, 2025 was determined as follows for both trade and other receivables and contract assets:

(in Korean won)

(in Korean won)

		June 30, 2026						
		Past due						Total
	Current	Less than 1 months	1 - 3 months	3 - 6 months	6 - 12 months	More than 12 months		
Expected Loss Rate	0.83%	0.00%	0.00%	0.00%	0.67%	99.99%	7.82%	
Gross Carrying Amount – Trade Receivables	₩ 534,777,432,383	₩ 37,581,013,712	₩ 2,576,519,482	₩ 175,613,837	₩ 1,208,899,515	₩ 47,396,014,527	₩ 623,715,493,456	
Gross Carrying Amount – Other Receivables	24,950,874,711	76,956,011	-	-	-	166,576,789	25,194,407,511	
Gross Carrying Amount – Contract Assets – Unbilled	21,131,533,316	-	-	-	-	-	21,131,533,316	
Allowance for Expected Credit Losses	(4,819,750,355)	-	-	-	(8,130,225)	(47,559,361,624)	(52,387,242,204)	

(in Korean won)

(in Korean won)		December 31, 2025												
		Past due												
Current		Less than 1 months		1 - 3 months		3 - 6 months		6 - 12 months		More than 12 months		Total		
Expected Loss Rate		0.78%	0.00%	0.00%		0.98%		16.19%		99.99%		6.60%		
Gross Carrying Amount – Trade Receivables	₩	522,884,029,849	₩	121,777,276,194	₩	10,930,837,861	₩	771,491,505	₩	529,950,634	₩	44,038,030,226	₩	700,931,616,269
Gross Carrying Amount – Other Receivables		12,886,815,456		2,723,727		127,821		-		-		155,057,433		13,044,724,437
Gross Carrying Amount – Contract Assets – Unbilled		23,470,821,234		-		-		-		-		-		23,470,821,234
Allowance for Expected Credit Losses		(4,364,768,729)		(424,084)		-		(7,567,992)		(85,813,754)		(44,190,357,529)		(48,648,932,088)

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Changes in the loss allowance provision for trade and other receivables and contract assets for the periods ended June 30, 2026 and 2025, are as follows:

(in Korean won)

	Trade Receivables		Other Receivables		Contract Assets	
	2026	2025	2026	2025	2026	2025
Beginning Balance	₩ (46,203,388,819)	₩ (47,430,427,160)	₩ (361,049,995)	₩ (722,264,660)	₩ (2,084,493,274)	₩ (3,067,641,283)
Provision	(309,507,728)	(548,495,469)	(189,218)	-	(3,854,052)	(464,024,006)
Reversal	21,792,628	300,191,817	151,835,493	21,758,702	17,269,152	1,059,044,903
Others	(3,450,111,004)	3,714,577,189	(15,555,025)	19,433,684	(149,990,362)	373,434,939
Ending Balance	₩ (49,941,214,923)	₩ (43,964,153,623)	₩ (224,958,745)	₩ (681,072,274)	₩ (2,221,068,536)	₩ (2,099,185,447)

(c) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or other financial assets. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The ultimate responsibility for liquidity risk management remains with the Board of Directors, who establishes fundamental policies to adequately manage short-term, medium-and long-term financing and liquidity management regulations. To maintain adequate liquidity, the Group manages liquidity risk by periodically forecasting and adjusting its capital balance.

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The following are the contractual maturities of financial liabilities as of June 30, 2026 and December 31, 2025, including estimated interest payments and excluding the impact of netting agreements. The Group does not expect that the cash flows included in the maturity analysis could occur significantly earlier or at different amounts.

(in Korean won)

June 30, 2026

	Book amount	Contractual cash flows	Less than 1 year	1-2 years	2-3 years	More than 3 years
Trade and other payables ¹	₩ 489,907,237,329	₩ 489,907,237,327	₩ 489,907,237,327	₩ -	₩ -	₩ -
Lease liabilities	275,915,417,174	334,980,127,153	41,914,951,291	38,982,526,533	40,139,835,641	213,942,813,688
Debentures	919,114,176,413	954,185,834,246	344,170,847,945	610,014,986,301	-	-
Short-term borrowings	46,244,999,999	46,377,768,500	46,377,768,500	-	-	-
	₩ 1,731,181,830,915	₩ 1,825,450,967,226	₩ 922,370,805,063	₩ 648,997,512,834	₩ 40,139,835,641	₩ 213,942,813,688

¹ Trade and other payables include liabilities under supplier financing arrangements. The financial institutions involved in the supplier financing arrangements maintain sound financial positions, and the Group is not subject to significant liquidity risk concentration related to these institutions (Note 31).

(in Korean won)

December 31, 2025

	Book amount	Contractual cash flows	Less than 1 year	1-2 years	2-3 years	More than 3 years
Trade and other payables ¹	₩ 271,638,078,349	₩ 271,638,078,349	₩ 271,638,078,349	₩ -	₩ -	₩ -
Lease liabilities	8,370,037,604	8,628,336,452	7,505,916,810	662,148,465	275,397,398	184,873,779
Debentures	918,724,421,281	962,706,780,274	347,093,958,356	615,612,821,918	-	-
Short-term borrowings	-	-	-	-	-	-
	₩ 1,198,732,537,234	₩ 1,242,973,195,075	₩ 626,237,953,515	₩ 616,274,970,383	₩ 275,397,398	₩ 184,873,779

¹ Trade and other payables include liabilities under supplier financing arrangements. The financial institutions involved in the supplier financing arrangements maintain sound financial positions, and the Group is not subject to significant liquidity risk concentration related to these institutions (Note 31).

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(d) *Currency risk*

The Group is exposed to currency risk on sales, purchases, and borrowings. The currencies in which these transactions primarily are denominated are USD and so forth. The Group establishes a plan to manage currency risk through currency forwards and so forth, if considered necessary.

(i) *Exposure to currency risk*

The Group's exposure to foreign currency risk as of June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)		June 30, 2026			
		USD	EUR	JPY	GBP
Assets :					
Cash equivalents	₩	77,113,305,226	₩ -	₩ -	-
Trade and other receivables		541,567,991,666	1,224,646,790	52,014,769	2,793,168,370
Contract assets - unbilled		21,131,533,316	-	-	-
		639,812,830,208	1,224,646,790	52,014,769	2,793,168,370
Liabilities :					
Trade and other payables		14,456,421,880	10,174,473,696	4,384,980,764	1,372,084,308
Net Assets (Liabilities)	₩	625,356,408,328	₩ (8,949,826,906)	₩ (4,332,965,995)	₩ 1,421,084,062

(in Korean won)		December 31, 2025			
		USD	EUR	JPY	GBP
Assets :					
Cash equivalents	₩	70,098,211,301	₩ -	₩ -	-
Trade and other receivables		655,824,342,304	329,578,489	170,776,779	1,901,019,861
Contract assets - unbilled		23,470,821,234	-	-	-
		749,393,374,839	329,578,489	170,776,779	1,901,019,861
Liabilities :					
Trade and other payables		13,368,225,415	2,678,036,930	132,738,740	602,281,744
Net Assets (Liabilities)	₩	736,025,149,424	₩ (2,348,458,441)	₩ 38,038,039	₩ 1,298,738,117

(ii) The significant exchange rates applied for the six-month period ended June 30, 2026 and the year ended December 31, 2025, are as follows:

(in Korean won)		2026		2025	
		Average rate	June 30, 2026	Average rate	December 31, 2025
USD	₩	1,481.78	₩ 1,541.50	₩ 1,421.89	₩ 1,434.90
EUR		1,728.47	1,761.09	1,605.82	1,685.72
JPY(100 ¥)		936.93	951.98	950.83	917.63
GBP		1,992.17	2,044.11	1,873.91	1,932.31

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(iii) Sensitivity analysis

The Group internally assesses the currency risk against changes in exchange rate fluctuations regularly. The table below summarizes the impact of weakened/strengthened functional currency on the Group's income before tax for the period. The analysis is based on the assumption that functional currency has weakened/strengthened by 10% with all other variables held constant.

(in Korean won)	June 30, 2026		December 31, 2025	
	10% increase	10% decrease	10% increase	10% decrease
USD	₩ 62,535,640,833	₩ (62,535,640,833)	₩ 73,602,514,942	₩ (73,602,514,942)
EUR	(894,982,691)	894,982,691	(234,845,844)	234,845,844
JPY(100 ¥)	(433,296,600)	433,296,600	3,803,804	(3,803,804)
GBP	142,108,406	(142,108,406)	129,873,812	(129,873,812)

(e) Interest rate risk

Interest rate risk is the risk that the future cash flows of interest income and expenses arising from investing and financing activities will fluctuate due to changes in market interest rates. This risk mainly stems from deposits and floating-rate borrowings. The Group minimizes external borrowings through internal fund sharing, thereby mitigating financial costs and uncertainties caused by interest rate fluctuations.

(f) Capital management

The Group's capital management is for the purpose of maximizing the shareholders' interest by maintaining an optimal capital structure. To achieve optimal capital structure, the Group may improve financial structure monitoring financial ratios, such as debt-to-equity ratio.

The debt-to-equity ratio as at June 30, 2026 and December 31, 2025, are as follows:

(in Korean won)	June 30, 2026		December 31, 2025	
Total liabilities (A)	₩	4,290,697,900,998	₩	3,609,631,328,852
Total equity (B)		8,361,923,185,339		7,451,110,647,985
Debt-to-equity ratio (A/B)		51.31%		48.44%

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35. Spin-off

The Group resolved on May 22, 2025 to spin off Samsung Bioepis Co., Ltd. in order to concentrate its capabilities on specialized business areas and to enhance sustainable growth potential. Following approval of the agenda item at the shareholders' meeting on October 17, 2025, the Group carried out a human spin-off with Samsung Epis Holdings Co., Ltd. established as a newly incorporated entity, with the effective date of November 1, 2025. The comparative condensed consolidated interim statements of comprehensive income have been restated to present the discontinued operations separately from continuing operations.

(a) Key details of the spin-off

Category	Description
Method of spin-off	Human spin-off
Surviving entity	Samsung Biologics Co., Ltd.
Newly established entity	Samsung Epis Holdings Co., Ltd.
Effective date of spin-off	November 1, 2025

(b) Changes in assets and liabilities resulting from the spin-off

The difference between the carrying amounts of the transferred assets and liabilities resulting from the spin-off was recognized as a capital adjustment in the financial statements.

(in Korean won)

	November 1, 2025
Current assets	₩ 1,634,915,769,810
Non-current assets	5,611,273,886,960
Total assets	7,246,189,656,770
Current liabilities	997,512,631,220
Non-current liabilities	1,108,165,297,233
Total liabilities	2,105,677,928,453
Net assets	5,140,511,728,317

(c) Overview of discontinued operations

(in Korean won)

	June 30, 2025
Revenue	₩ 574,395,886,619
Cost of sales	230,719,663,225
Selling, general and administrative expenses	288,829,492,651
Operating profit	54,846,730,743
Profit before income tax	26,824,533,093
Profit from discontinued operations	35,037,701,084

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(d) Cash flows generated from discontinued operations

<i>(in Korean won)</i>	June 30, 2025
Cash flows from operating activities	₩ 181,510,968,855
Cash flows from investing activities	(44,845,080,510)
Cash flows from financing activities	(464,184,498)
Net cash flows	136,201,703,847

In accordance with Article 530-9, Paragraph 1 of the Korean Commercial Act, the surviving company and the newly established company are jointly and severally liable for certain liabilities of the Company prior to the spin-off.

36. Business Combination

On March 31, 2026, Samsung Biologics America, Inc., a subsidiary of the Parent Company, acquired a 100% equity interest in Human Genome Sciences, Inc. to strengthen the Group's global business competitiveness through enhanced biopharmaceutical development capabilities.

(a) Key details of the business combination

Category	Description
Name of acquired company	Human Genome Sciences, Inc.
Purpose of acquisition	To strengthen global business competitiveness through enhanced biopharmaceutical development capabilities
Country of incorporation	USA
Principal activities	Pharmaceutical manufacturing

(b) Fair value of identifiable assets acquired and liabilities assumed as of the acquisition date

<i>(in Korean won)</i>	March 31, 2026
Cash and cash equivalents	₩ 665,798,991
Trade and other receivables	90,901,009
Inventories	98,412,176,466
Other assets	3,031,756,141
Property, plant and equipment, and right-of-use assets	730,551,706,080
Intangible assets	7,069,027,867
Deferred tax assets (liabilities)	(30,789,584,200)
Lease liabilities and other liabilities	(268,833,924,648)
Provision liabilities	(5,864,527,245)
Identifiable net assets	534,333,330,461
Consideration transferred	₩ 534,333,330,461

1 The amounts of identifiable net assets recognized from the business combination during the current half-year are provisionally determined and are subject to change upon completion of the final valuation.

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37. Ruling of the Securities and Futures Commission in relation to the accounting for investment in Samsung Bioepis Co., Ltd., the related administrative lawsuit and the indictment

On July 12, 2018, the Securities & Futures Commission ("SFC") imposed the first administrative measures in accordance with the Act on External Audit of Stock Companies against the Group for alleged failure to disclose sufficient information in the Group's Financial Statements from 2012 to 2015 regarding the Group's joint venture agreement with Biogen Therapeutics Inc. The measures ("First measures") included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Group's executives in charge; and iii) prosecution against the Group and its representative director (CEO). On November 14, 2018, the SFC imposed the second administrative measures in accordance with the Act on External Audit of Stock Companies against the Group for violation of accounting standards by inappropriately applying separate method regarding investments in Samsung Bioepis from 2012 to the first half of 2018. The measures ("Second measures") included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Group's representative director (CEO) and executives in charge; iii) referral of the case against the Group and its representative director (CEO) to the Prosecutors Office; iv) retrospective restatement of financial statements; and v) imposition of administrative fine of 8 billion won on November 21, 2018.

The Group filed a complaint for the cancellation of the measures taken by the Securities and Futures Commission and the Financial Services Commission on October 8, 2018 (first measure) and November 27, 2018 (second measure) to substantiate the legitimacy of the accounting treatment. The cancellation lawsuit for the first measure has been finalized, while the cancellation lawsuit for the second measure is ongoing.

Regarding the cancellation lawsuit related to the first measure, on September 24, 2020, the Seoul Administrative Court ruled to revoke the administrative disposition imposed on the Group by the Securities and Futures Commission and decided to suspend the effect of the disposition until the appellate court ruling. However, on October 16, 2020, the Securities and Futures Commission appealed the first instance ruling. On June 11, 2025, the Seoul High Court dismissed the appeal by the Securities and Futures Commission, and although the Commission filed an appeal against the ruling on June 30, 2025, the Supreme Court dismissed the appeal on September 25, 2025, thereby finalizing the full acceptance of the Group's cancellation claim. Regarding the cancellation lawsuit related to the second measure, on August 14, 2024, the Seoul Administrative Court ruled to revoke the administrative disposition imposed on the Group by the Securities and Futures Commission. However, on August 28, 2024, the Securities and Futures Commission appealed the first-instance ruling, and the lawsuit is currently ongoing at the Seoul High Court.

In addition, the Group submitted requests for suspension of measures by SFC on November 27, 2018 and December 18, 2018, to the Court. The Supreme Court affirmed the suspension of the Second and First measures, on December 6, 2019 and October 11, 2019, respectively.

Administrative lawsuits are in progress relating to the SFC's measures, and it is not possible to predict the outcome of the administrative lawsuits. However, if the Group loses the administrative lawsuits, the consolidated financial statements from 2012 to 2022 could potentially be restated.

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If the Group's consolidated financial statements are restated in accordance with the SFC's measures, there is no effect on the Group's consolidated interim financial statements in 2026.

With respect to this matter, the investigation by the prosecutor against the Group's former CEO, CFO and others for alleged violation of the Act on External Audit of Stock Companies, the Financial Investment Services and Capital Market Act, the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act was carried out. In 2021, the Group's former CEO and CFO were indicted for alleged violation of the Act on External Audit of Stock Companies, alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of document destruction under Criminal Act.

On February 5, 2024, the Seoul Central District Court acquitted to the Group's former CEO and CFO on charges of violation of the Act on External Audit of Stock Companies, and the prosecutor appealed the Court's acquittal on February 8, 2024. On February 3, 2025, the Seoul High Court dismissed the prosecution's appeal. Subsequently, on February 7, 2025, the prosecution filed an appeal to the Supreme Court against the appellate court's decision. On July 17, 2025, the Supreme Court dismissed the prosecution's appeal, thereby finalizing the acquittal of the former CEO and former CFO. In addition, on February 14, 2024, the Seoul Central District Court acquitted to the Group's former CEO and CFO for alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act. With respect to the allegations of evidence destruction, the former CEO was acquitted, and the CFO received suspended sentence. The prosecutor appealed the Court's first trial on February 20, 2024, and the CFO who received suspended sentence appealed the Court's first trial on February 21, 2024.

Meanwhile, on December 9, 2019, executives and employees of the Parent Company, who had been indicted on charges including the destruction of evidence related to a search and seizure by the prosecution, were convicted in the first trial at the Seoul Central District Court for violating the Act on External Audit of Stock Companies and the Criminal Act.

If the Group's consolidated financial statements are restated in accordance with the SFC's measures, there is no effect on the Group's consolidated interim financial statements in 2026 mainly due to the elimination of fair value valuation for Samsung Bioepis in 2015.

38. Events after the reporting period

On July 17, 2026, the Group resolved to acquire a stake in PolyPeptide Group AG, a peptide CDMO company, through a public purchase method to enhance its business competitiveness. It may be subject to change depending on the progress of the tender offer and related licensing procedures.